

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

Department 22, Honorable Beth McGowen Presiding

Farris Bryant, Courtroom Clerk
191 North First Street, San Jose, CA95113
Telephone: (408) 882-2340

To contest a tentative ruling, you must:

1. Call (408) 808-6856 before 4:00 P.M. and leave a voicemail message containing the information described below, and
2. Notify the other side before 4:00 P.M. that you will appear at the hearing to contest the tentative ruling.

In the voicemail message, please state your case name, case number, the name of the attorney, who you represent (Plaintiff or specific defendant) and contact number. It would also be helpful if you could identify the specific portion or portions of the tentative ruling that will be contested.

PLEASE NOTE:

- If you do not notify the Court and/or opposing side as required by California Rule of Court, rule 3.1308(a)(1) and Civil Local Rule 8(E), the Court will not hear argument and the tentative ruling will be adopted even if all parties appear at the hearing.
- Sending an email to the department or to the Complex Clerk will no longer suffice to constitute notice to the Court of the need for a hearing regarding a tentative ruling.

Court Reporters are not provided. Please consult our Court's website, www.scscourt.org, for the rules, policies, and required forms for appointment by stipulation of privately-retained court reporters.

- **Parties can appear either in person or remotely.** All remote appearances must be made through UDC, unless otherwise arranged with the Court. Please go to <https://santaclara.courts.ca.gov/online-services/remote-hearings> to find the appropriate link. Also, please note that that you must register in advance to appear remotely.
- As a reminder, state and local Court Rules prohibit recording of court proceedings without a Court order. This prohibition applies while in the courtroom and while appearing remotely.

DATE: July 23, 2026 TIME: 1:30 P.M.

**PREVAILING PARTY SHALL PREPARE THE ORDER
UNLESS OTHERWISE STATED (SEE [RULE OF COURT 3.1312](#))**

LINE #	CASE #	CASE TITLE	RULING
LINE 1	18CV328915	Uzair v. Google, LLC (Class Action)	Hearing: Motion for Final Approval is GRANTED Click on lines 1-2 for tentative ruling
LINE 2	18CV328915	Uzair v. Google, LLC (Class Action)	Hearing: Motion for Fees and Costs is GRANTED Click on lines 1-2 for tentative ruling
LINE 3	19CV354554	Leedeman v. Midland Credit Management, Inc. (Class Action)	Hearing: Motion for Final Approval GRANTED Click on lines 3-4 for tentative ruling
LINE 4	19CV354554	Leedeman v. Midland Credit Management, Inc. (Class Action)	Hearing: Motion for Fees and Costs GRANTED Click on lines 3-4 for tentative ruling
LINE 5	22CV394263	Garcia v. Norcal Pool Construction Inc. (Class Action/PAGA)	Motion: Preliminary Approval is GRANTED Click on line 5 for tentative ruling
LINE 6	23CV413920	Rangel v. President and Board of Trustees of Santa Clara College (Class Action)	Hearing: Discovery Motion to Enforce and Request for Sanctions is GRANTED Click on line 6 for tentative ruling
LINE 7	23CV426584	Olguin v. Talamo Food Service, Inc. (PAGA)	Motion: Approval GRANTED Click on line 7 for tentative ruling
LINE 8	23CV427637	Fuentes v. La Cumbre Enterprises, Inc., et al. (PAGA)	Motion: Compel is GRANTED Click on line 8 for tentative ruling

LINE 9	24CV431503	Mirza-Aliev v. 800 Moffett MV Manager, LLC (Class Action)	Hearing: Motion for Final Approval is GRANTED Click on line 9 for tentative ruling
LINE 10	24CV436504	Vo v. Excite Credit Union (Class Action)	Motion: Preliminary Approval is GRANTED Click on line 10 for tentative ruling
LINE 11	24CV450382	JEREMIAH JOHNSON vs APPLE, INC. (Class Action / PAGA)	Hearing: Demurrer is SUSTAINED with leave to amend Click on line 11 for tentative ruling
LINE 12	25CV469704	K. K. vs TBMBM US, Inc. (Class Action)	Hearing: Demurrer is OVERRULED Click on lines 12-13 for tentative ruling
LINE 13	25CV469704	K. K. vs TBMBM US, Inc. (Class Action)	Hearing: Motion to Strike is DENIED Click on lines 12-13 for tentative ruling

Calendar Lines 1-2

Case Name: *Uzair, et al. v. Google LLC*

Case No.: 18CV328915

This is a class action rising from the automatic renewal of subscriptions for digital content through Defendant Google LLC's ("Google" or "Defendant") Google Play service.

Before the Court is Plaintiff Salvador De La O's motion for final approval and his motion for attorneys' fees, costs, and service awards, which is unopposed.¹ As discussed below, the Court GRANTS the motions.

I. BACKGROUND

A. Google Play

Google develops and operates Google Play as the official software application or "App" store for the Android operating system, allowing consumers to browse and download Android Apps published by both Google and third-party developers. (First Amended Complaint ("FAC"), ¶¶ 23–25.) Google uses Google Play to offer digital products (including, for example, songs, movies, television shows, and periodicals) through paid subscriptions that are automatically renewed at the end of a definite term for a subsequent term, or that continue until the consumer cancels. (FAC, ¶ 26.) Plaintiffs refer to subscriptions purchased through Google Play as "In-App Subscriptions."

To make purchases through Google Play, whether for Google's or third parties' applications, consumers use Google Play's payment system, formerly known as Google Wallets and currently called Google Payments. (FAC, ¶ 27.) For its own apps and for third-party apps, Google enrolls subscribers, processes payments, and delivers the In-App subscriptions. Third-party developers never receive subscribers' payment information. (FAC, ¶ 28.)

To subscribe, consumers must have a Google Account with a Google ID and password and are required to set up a Google Payments Account by providing their payment information. (FAC, ¶ 29.) During this process, consumers must state that they agree to the Google Play Terms of Service and the Google Payments Terms of Service ("Legal Agreements"), the current versions of which are attached to the FAC. (*Ibid.*) Consumers accept the Google Play Terms of Service when first using the Google Play Store App and when making a new purchase after the Terms have been updated. (FAC, ¶ 33.) Consumers do not agree to the Google Play Terms of Service prior to each and every purchase. (*Ibid.*) Rather, when Google Play offers consumers an In-App Subscription, small text at the bottom of the screen states: "By tapping 'subscribe,' you agree to the Terms of Service – Android (US)," with a hyperlink to the Google Payments Terms of Service. (*Ibid.*)

B. Plaintiffs' General Allegations

¹ Abdullah Uzair, Angel Chavez, and Nicolas Joel Luskin are also named Plaintiffs but they are not Class Representatives. The Court will refer to them collectively as "Plaintiffs."

Plaintiffs allege that Google’s “subscription flow,” including an initial pop up screen summarizing the subscription offer and an expanded summary that may also be viewed by the user, does not disclose that subscriptions will automatically renew until the consumer affirmatively acts to cancel the subscription and does not disclose that any cancellation is not effective until the end of the current billing period. This, in Plaintiffs’ view, violates Business & Professions Code sections 17600–17604, which govern automatic renewal and continuous service offers to consumers in California (the “Automatic Renewal Law” or “ARL”). (FAC, ¶¶ 37–43.)

In addition, Google’s subscription flow does not satisfy the ARL’s requirement of an affirmative consent to the agreement containing the automatic renewal offer terms, at least according to Plaintiffs. And while Google sends confirmation emails to customers, Google supposedly fails to provide an acknowledgement that includes the terms, cancellation policy, and information on how to cancel in a manner capable of being retained by the subscriber and that describes a timely, cost-effective, and easy-to-use mechanism for cancellation. (FAC, ¶¶ 50–53.) Finally, Plaintiffs allege that Google fails to allow subscribers to cancel before payment as required by the statute. (*Ibid.*)

Moreover, while these terms are disclosed in the Google Payments Terms of Service, they do not appear until consumers have scrolled through 29–30 screens of information within that document. (FAC, ¶ 44.) The terms consequently are not “clear and conspicuous” or in “visual proximity” to the subscription offer, as required by the ARL. (*Ibid.*)

Plaintiffs further allege that the Legal Agreements also violate the ARL in that they do not disclose: (1) the recurring charges that will be charged to the payment method information as part of the automatic renewal plan; (2) the length of the automatic renewal term or that the service is continuous where the length of the term is not chosen by the consumer; or (3) that there is a minimum purchase obligation. Moreover, according to Plaintiffs, whatever disclosures the Legal Agreement contain are not clear and conspicuous or in visual proximity to the subscription offer. (FAC, ¶¶ 47–49.)

C. Named Plaintiffs’ Specific Allegations

Plaintiff Abdullah Uzair resides in California and purchased a family plan subscription to Google Play Music from defendant on March 16, 2016. (FAC, ¶ 9.)

Because Defendant failed to clearly and conspicuously disclose the automatic renewal offer terms in visual proximity to the request for Plaintiff’s consent to the offer, Plaintiff was not informed prior to purchase that the subscription would renew automatically until cancelled or that any cancellation would not be effective until the next period. Had Defendant made these disclosures, Plaintiff would not have subscribed to Google Play Music at the time he did so.

(*Ibid.*) Since March 16, 2016, Google has continued to charge Mr. Uzair \$14.99 per month on a recurring basis for this Google Play Music subscription. (*Ibid.*) Three other plaintiffs—Angel Chavez, Nicholas Joel Luskin, and Salvador De La O—signed up for free trials to services offered by Google that they would not have subscribed to had Google disclosed that the subscription would renew automatically until cancelled and that any cancellation would not be effective until the next period. (FAC, ¶¶ 10–12.)

Based on the foregoing, Plaintiff Uzair initiated this action on May 30, 2018, with the filing of the Complaint, which asserted the following causes of action: (1) violation of Automatic Renewal Law (Bus. & Prof. Code §§ 17600-17604); (2) UCL violations (Bus. & Prof. Code §§ 17200-17204); (3) injunctive relief and restitution (Bus. & Prof. Code § 17535); (4) violation of Consumer Legal Remedies Act (Civ. Code §§ 1750, *et seq.*); (5) common count for money had and received; and (6) declaratory relief (Code Civ. Proc., § 1060).

Plaintiff De La O now seek an order: granting final approval of the parties settlement agreement (the “Settlement”); approving administration costs to settlement administrator Verita Global (“Verita”); authorizing the payment of any additional Court-approved settlement administration expenses from residual funds; and entering judgment.

II. MOTION FOR FINAL APPROVAL

A. LEGAL STANDARD FOR SETTLEMENT APPROVAL

Generally, “questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234–235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244–245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs’ case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of relevant factors, depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the “proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned.” (*Ibid.*, citation and internal quotation marks omitted.) The trial court also must independently confirm that “the consideration being received for the release of the class members’ claims is reasonable in light of the strengths and weaknesses of the claims and the risks of the particular litigation.” (*Kullar, supra*, 168 Cal.App.4th at p. 129.) Of course, before performing its analysis the trial court must be “provided with basic information about the nature and magnitude of the claims in question and the basis for concluding that the consideration being paid for the release of those claims represents a reasonable compromise.” (*Id.* at pp. 130, 133.)

B. Settlement Class

Plaintiffs request certification of the following Class for settlement purposes.

All persons in California who paid for at least one renewal term of a Google subscription through a Google Play checkout screen (or “Buy Cart”) billed through Google Play billing from May 30, 2014 to October 27, 2019 for personal, family, or household purposes, excluding subscriptions for Google Drive, subscriptions that were cancelled during a free trial, and subscriptions that were fully refunded by Google.

Rule 3.769(d) of the California Rules of Court states that “[t]he court may make an order approving or denying certification of a provisional settlement class after [a] preliminary settlement hearing.” California Code of Civil Procedure Section 382 authorizes certification of a class “when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court”

Section 382 requires the plaintiff to demonstrate by a preponderance of the evidence: (1) an ascertainable class and (2) a well-defined community of interest among the class members. (*Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326, 332 (*Sav-On Drug Stores*)). “Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing.” (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.) The plaintiff has the burden of establishing that class treatment will yield “substantial benefits” to both “the litigants and to the court.” (*Blue Chip Stamps v. Superior Court* (1976) 18 Cal.3d 381, 385.)

In the settlement context, “the court’s evaluation of the certification issues is somewhat different from its consideration of certification issues when the class action has not yet settled.” (*Luckey v. Superior Court* (2014) 228 Cal.App.4th 81, 93.) As no trial is anticipated in the settlement-only context, the case management issues inherent in the ascertainable class determination need not be confronted, and the court’s review is more lenient in this respect. (*Id.* at pp. 93–94.) But considerations designed to protect absentees by blocking unwarranted or overbroad class definitions require heightened scrutiny in the settlement-only class context, since the court will lack the usual opportunity to adjust the class as proceedings unfold. (*Id.* at p. 94.)

At preliminary approval, the Court provisionally certified the above-described Class, and it does not find any reasons to depart from that ruling at this time. Consequently, the Court will certify the Class for settlement purposes as requested.

C. Terms and Administration of Settlement

The non-reversionary gross settlement amount is \$5,000,000. Attorneys’ fees in the amount of \$2,250,000 and litigation costs of up to \$180,000, and administrative costs of up to \$75,000.

The net settlement amount-estimated to be \$2,502,437.03-will be allocated to Class members. The average individual payment will be \$5.53.² After 195 days, “undeliverable” funds will be transmitted to the Justice Gap Fund. Plaintiff De La O will seek a service award of up to \$5,000 and Plaintiff Chavez will seek a service award of up to \$2,500.

In exchange for settlement, Class Members who do not opt out will release:

[A]ll manner of claims arising during the Class Period (a) as they were alleged in the complaints, including those based on alleged violations of the Automatic Renewal Law, Unfair Competition Law, Consumer Legal Remedies Act, money had and received, and declaratory and injunctive relief, or (b) that arise from the factual allegations in the operative First Amended Complaint.

The notice period has now been completed. Omar Silva (“Silva”), a senior project manager with Verita, submitted a declaration in support of the instant motion. On February 6, 2026, Verita received the Class list from defense counsel. On March 10, 2026, Verita sent the email notice to 417,973 Class Members and it was successfully delivered to 415,694. There were 2,279 email notices that were returned as undeliverable. Verita identified 36,248 Class Members whose original email addresses had either been invalid or from which the email notices had returned as undeliverable. It found updated email addresses for 16,625 Class Members and accordingly sent email notices on March 26, 2026. 11,568 were successfully delivered and 5,057 were returned as undeliverable. As of June 4, 2026, 427,262 email notices were successfully delivered. Thus, the notice efforts reached approximately 94.52% of the identified settlement Class.

On February 6, 2026, Verita established the Settlement Website dedicated to this matter. As of May 29, 2026, it received 61,670 visits. The Settlement Email Address received and responded to 560 inquiries. On March 9, 2026, Verita established a toll-free telephone number, which it continues to maintain. As of May 29, 2026, Verita received 148 calls.

The deadline to response was May 9, 2026. As of the date of Silva’s declaration, Verita received 25 requests for exclusion; and 8 objections. With regard to the objections, the names and email addresses for 5 submitters did not match the information in the Class list. As to the remaining 3 submitters, the names matched but the email addresses did not, thus, Verita sought more information from the submitters. However, after taking efforts to seek matching email addresses, Verita could not confirm that the submitters were Class Members. Thus, Verita states it has not received any valid objections to the Settlement.

Plaintiffs’ request for \$75,000 in administration costs is supported by Silva’s declaration. The amount is reasonable for Verita’s efforts in this action. Thus, the request is approved.

At the preliminary approval, the Court found that the proposed settlement provides a fair and reasonable compromise to Plaintiffs’ claims. It finds no reason to depart from these

² The Settlement does not require a claims process, instead each participating Class Member shall automatically receive their pro rata share of the net settlement fund.

findings now, especially considering that there are no objections. Therefore, the Court finds that the Settlement is fair and reasonable for the purposes of final approval.

III. MOTION FOR ATTORNEYS' FEES, LITIGATION COSTS, AND PLAINTIFFS' SERVICE AWARD

Class Counsel seeks a fee award of \$2,250,000. Class Counsel provides a lodestar figure of \$4,935,659.50, based on 6,061.60 hours of work at billing rates ranging from \$250 to \$1,275 per hour, resulting in a negative multiplier of 0.45. This is below the range of multipliers that courts typically approve. (See *Wershba*, *supra*, 91 Cal.App.4th at p. 255 [“[m]ultipliers can range from 2 to 4 or even higher”]; *Vizcaino v. Microsoft Corp.* (9th Cir. 2002) 290 F.3d 1043, 1051, fn. 6 [stating that multipliers ranging from one to four are typical in common fund cases and citing the court’s own survey of large settlements funding a range of 0.6-19.6, with most (20 to 24, or 83%) from 1.0-4.0 and a bare majority (13 of 24, or 54%) in the 1.5-3.0 range”].)

“While the percentage method has been generally approved in common fund cases, courts have sought to ensure the percentage fee is reasonable by refining the choice of a percentage or by checking the percentage result against the lodestar-multiplier calculation.” (*Laffitte v. Robert Half Intern, Inc.* (2016) 1 Cal.5th 480, 495 (*Laffitte*).) Applying the latter approach,

[T]he percentage-based fee will typically be larger than the lodestar based fee. Assuming that one expects rough parity between the results of the percentage method and the lodestar method, the difference between the two computed fees will be attributable solely to a multiplier that has yet to be applied. Stated another way, the ratio of the percentage-based fee to the lodestar-based fee implies a multiplier, and that implied multiplier can be evaluated for reasonableness. If the implied multiplier is reasonable, then the cross-check confirms the reasonableness of the percentage-based fee; if the implied multiplier is unreasonable, the court should revisit its assumptions. (*Laffitte*, *supra*, 1 Cal.5th at p. 496, quoting Walker & Horwich, *The Ethical Imperative of a Lodestar Cross-check: Judicial Misgivings About “Reasonable Percentage” Fees in Common Fund Cases* (2005) 18 Geo. J. Legal Ethics 1453, 1463.) As described by the California Supreme Court, “[i]f the multiplier calculated by means of a lodestar crosscheck is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment.” (*Laffitte*, *supra*, 1 Cal.5th at 505.)

While the amount requested constitutes a higher percentage of the gross settlement amount than the Court usually awards, the Court finds the award is justified based on the length of the litigation, the amount of time spent on this action, and the results achieved. Moreover, the multiplier sought by Class Counsel is well below the range typically awarded by California courts and it is supported by the percentage cross-check and Class Counsel’s declarations. Thus, the Court finds Class Counsel’s requested fee award is reasonable.

Class Counsel also seeks \$165,062.97 in litigation costs, which is below the \$180,000 allowed for in the Settlement. The request is supported by Class Counsel’s declarations. This amount is reasonable and thus, it is approved.

Plaintiff De La O requests a service award of \$5,000 and Plaintiff Chavez requests a service award of \$2,500.

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation. These “incentive awards” to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted.) Incentive awards are particularly appropriate where a plaintiff undertakes a significant reputational risk in bringing an action against an employer. (*Covillo v. Specialty’s Café* (N.D. Cal. 2014) 2014 U.S.Dist.LEXIS 29837, at *29.)

At preliminary approval, the Court concluded that Plaintiffs were entitled to their respective service awards. The Court sees no reason to depart from that ruling at this time. Thus, Plaintiffs’ requests for their respective service awards are approved.

IV. CONCLUSION

In accordance with the above, IT IS HEREBY ORDERED, ADJUDGED, AND DECREED THAT:

Plaintiffs’ motion for final approval is GRANTED. The following Class is certified for settlement purposes only:

All persons in California who paid for at least one renewal term of a Google subscription through a Google Play checkout screen (or “Buy Cart”) billed through Google Play billing from May 30, 2014 to October 27, 2019 for personal, family, or household purposes, excluding subscriptions for Google Drive, subscriptions that were cancelled during a free trial, and subscriptions that were fully refunded by Google.

Judgment will be entered through the filing of this order and judgment. (Code Civ. Proc., § 668.5.) Plaintiff and the members of the Class will take from the operative complaint only the relief set forth in the settlement agreement and this order and judgment. Pursuant to Rule 3.769(h) of the California Rules of Court, the Court will retain jurisdiction over the parties to enforce the terms of the settlement agreement and the final order and judgment.

The Court sets a compliance hearing for **April 1, 2027 at 2:30 P.M.** in Department 22. At least ten court days before the hearing, class counsel and the settlement administrator shall submit a summary accounting of the net settlement fund identifying distributions made as ordered herein; the number and value of any uncashed checks; amounts remitted pursuant to Code of Civil Procedure section 384, subdivision (b); the status of any unresolved issues; and any other matters appropriate to bring to the Court’s attention. Counsel shall also submit an

amended judgment as described in Code of Civil Procedure section 384, subdivision (b). Counsel may appear at the compliance hearing remotely.

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Calendar Lines 3-4

Case Name: *Leedeman v. Midland Credit Management, Inc.*

Case No.: 19CV254554

This is a class action alleging unlawful debt collection practices by defendant Midland Credit Management, Inc. (“MCM” or “Defendant”) in connection with consumer credit accounts.

Before the Court is (1) the parties’ joint motion for final approval; and (2) Plaintiff Peggy Irene Leedeman’s motion for attorneys’ fees, costs, and a service award, which is unopposed. As discussed below, the Court GRANTS the parties’ motion for final approval; and GRANTS Plaintiff’s motion for attorneys’ fees, costs, and a service award.

V. BACKGROUND

According to the allegations of the operative first amended complaint (“FAC”), Plaintiff incurred a financial obligation in the form of a consumer credit account issued by Capital One Bank (USA) N.A. (“Capital One”). (FAC, ¶ 12.) Plaintiff denies she owes any debt on this account. (*Ibid.*) On or about March 15, 2019, Capital One sold the alleged debt to MCM for collection. (FAC, ¶ 14.)

MCM sent Plaintiff an initial collection letter on April 10, 2019, which included an insert. (FAC, ¶¶ 16-19.) She alleges that the insert violated Civil Code section 1788.52, subdivision (d)(1), because it failed to provide the true name of the debt buyer and was printed in less than 12-point type. (FAC, ¶ 20.) These alleged violations are part of MCM’s standard policy when sending initial collection communications. (FAC, ¶ 23.) Leedeman brings this class action on behalf of herself and other consumers who received such communications from MCM, in connection with debt originally owed to Capital One. (FAC, ¶¶ 24-26.)

Based on the foregoing allegations, Plaintiff initiated this action with the filing of the complaint asserting a single cause of action under the California Fair Debt Buying Practices Act (“CFDBPA”), Civil Code sections 1788.50-1788.64. On February 25, 2021, Plaintiff filed her FAC, which asserts the same claim. On January 24, 2026, the Court issued its order, which granted the parties’ motion for preliminary approval.

The parties now seek final approval of the Settlement.

VI. MOTION FOR FINAL APPROVAL

D. LEGAL STANDARDS FOR SETTLEMENT APPROVAL

1. Class Action

Generally, “questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234–235)

(*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244–245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of relevant factors, depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the "proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned." (*Ibid.*, citation and internal quotation marks omitted.) The trial court also must independently confirm that "the consideration being received for the release of the class members' claims is reasonable in light of the strengths and weaknesses of the claims and the risks of the particular litigation." (*Kullar, supra*, 168 Cal.App.4th at p. 129.) Of course, before performing its analysis the trial court must be "provided with basic information about the nature and magnitude of the claims in question and the basis for concluding that the consideration being paid for the release of those claims represents a reasonable compromise." (*Id.* at pp. 130, 133.)

2. Terms and Administration of Settlement

The non-reversionary gross settlement amount is \$671,000. Attorneys' fees and costs not to exceed \$260,000 and administration costs not to exceed \$87,000. Plaintiff will seek a service award of \$6,000. The net settlement amount is \$318,000 will be allocated to members of the Class who are defined as "[a]ll persons with addresses in California to whom MIDLAND CREDIT MANAGEMENT, INC., sent or caused to be sent, an initial written communication in the form of Exhibits "1" and "2" to the First Amended Class Action Complaint for Statutory Damages herein an attempt to collect a charged-off consumer debt originally owed to Capital One Bank (USA), N.A. which was sold or resold to MIDLAND CREDIT MANAGEMENT, INC., on or after January 1, 2014, which were not returned as undeliverable by the U.S. Post Office during the period one year prior to the date of filing this action through the date of class certification." Funds associated with checks uncashed after 90 days will be transmitted to East Bay Community Law Center in Berkley, Housing and Economic Rights Advocates in Oakland; and Community Legal Services in East Palo Alto, as equal cy pres recipients.

In exchange for settlement, Class Members who do not opt out will release:

[A]ny and all claims, debts, liabilities, obligations, costs, expenses, attorneys' fees, damages, rights or equitable, legal or administrative relief, of any basis or source, whether known or unknown, actually alleged or that could have been alleged, based upon, arising from, or relating to, allegations asserted or that could have been asserted in the First Amended Class Action Complaint for Statutory Damages filed in the Action.

The notice period has now been completed. Veronica Olivares ("Olivares"), a case manager with settlement administrator CPT Group, Inc. ("CPT") submitted a declaration in support of the instant motion. On February 6, 2026, CPT received the class data from Defendant. On February 23, 2026, CPT mailed the postcard notices to all Class Members. On April 28, 2026, CPT received a request to be added from an individual, however, it was concluded that they are not a Class Member. As of the date of Olivares' declaration, 3,103 postcard notices have been returned—161 postcard notices with a forwarding address and 2,942 without a forwarding address. CPT took efforts to locate a forwarding address for the latter categories and as a result, 2,283 postcard notices were re-mailed. As of the date of Olivares' declaration 849 postcard notices remain undeliverable.

The deadline to submit a request for exclusion or objection was April 24, 2026. As of the date of Olivares' declaration, CPT has received 3 requests for exclusion and 0 objections. As a result, there are 36,548 participating Class Members which represents a 99.99% participation rate.

The request for \$87,000 in administration costs is supported by Olivares' declaration. Thus, the amount is reasonable based on the work conducted in this action and therefore, it is approved.

At the preliminary approval, the Court found that the proposed settlement provides a fair and reasonable compromise to Plaintiff's claims. It finds no reason to depart from these findings now, especially considering that there are no objections. Therefore, the Court finds that the Settlement is fair and reasonable for the purposes of final approval.

VII. MOTION FOR ATTORNEYS' FEES, LITIGATION COSTS, AND PLAINTIFF'S SERVICE AWARD

Class Counsel seeks a fee and costs award of \$260,000.00. Class Counsel provides a lodestar figure of \$308,049.50, based on 398.5 hours of work at billings rates ranging from \$650 to \$875 per hour, resulting in a negative multiplier of 0.84. This is below the range of multipliers that courts typically approve. (See *Wershba, supra*, 91 Cal.App.4th at p. 255 ["[m]ultipliers can range from 2 to 4 or even higher"]; *Vizcaino v. Microsoft Corp.* (9th Cir. 2002) 290 F.3d 1043, 1051, fn. 6 [stating that multipliers ranging from one to four are typical in common fund cases and citing the court's own survey of large settlements funding a range of 0.6-19.6, with most (20 to 24, or 83%) from 1.0-4.0 and a bare majority (13 of 24, or 54%) in the 1.5-3.0 range"].)

"While the percentage method has been generally approved in common fund cases, courts have sought to ensure the percentage fee is reasonable by refining the choice of a percentage or by checking the percentage result against the lodestar-multiplier calculation." (*Laffitte v. Robert Half Intern, Inc.* (2016) 1 Cal.5th 480, 495 (*Laffitte*).) Applying the latter approach,

[T]he percentage-based fee will typically be larger than the lodestar based fee. Assuming that one expects rough parity between the results of the percentage method and the lodestar method, the difference between the two computed fees will be attributable solely to a multiplier that has yet to be applied. Stated another way, the ratio of the percentage-based fee to the lodestar-based fee implies a multiplier, and that implied multiplier can be evaluated for reasonableness. If the implied multiplier is reasonable, then the cross-check confirms the reasonableness of the percentage-based fee; if the implied multiplier is unreasonable, the court should revisit its assumptions.

(*Laffitte, supra*, 1 Cal.5th at p. 496, quoting Walker & Horwich, *The Ethical Imperative of a Lodestar Cross-check: Judicial Misgivings About “Reasonable Percentage” Fees in Common Fund Cases* (2005) 18 Geo. J. Legal Ethics 1453, 1463.) As described by the California Supreme Court, “[i]f the multiplier calculated by means of a lodestar crosscheck is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment.” (*Laffitte, supra*, 1 Cal.5th at 505.)

Here, the multiplier sought by Class Counsel is well below the range of what California courts typically award and it is supported by the percentage cross-check. As noted above, Class Counsel seeks a total amount of \$260,000 for attorneys’ fees *and* litigation costs. Class Counsel Fred Schwinn (“Schwinn”) states the total litigation costs incurred in this action is \$46,540.22. The amounts requested for attorneys’ fees and costs is supported by Schwinn’s declaration. For reasons stated above, the request for a total award of \$260,000 is approved.

Lastly, Plaintiff requests a service award of \$6,000.

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation. These “incentive awards” to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted.) Incentive awards are particularly appropriate where a plaintiff undertakes a significant reputational risk in bringing an action against an employer. (*Covillo v. Specialty’s Café* (N.D. Cal. 2014) 2014 U.S.Dist.LEXIS 29837, at *29.)

Plaintiff submitted a declaration in support of her request. Although Plaintiff fails to provide an estimate of the hours spent on this litigation, she states she has participated in it through the seven years it has been ongoing. (Plaintiff’s Declaration (“Decl.”), ¶ 9.) She further states her conduct in this action includes communication with counsel; reviewing and approving documents; preparing for and attending her deposition in 2020; and preparing for and attending mediation. (Plaintiff’s Decl., ¶¶ 9-11.) She also states that she willingly

participated in this action without any guarantee of personal benefit. (Plaintiff's Decl., ¶ 12.) The Court finds Plaintiff is entitled to a service award and the amount requested is reasonable. Thus, Plaintiff's request for a service award in the amount of \$6,000 is approved.

VIII. CONCLUSION

In accordance with the above, IT IS HEREBY ORDERED, ADJUDGED, AND DECREED THAT:

The parties' motion for final approval is GRANTED; and Plaintiff's motion for attorneys' fees, costs, and a service award is GRANTED.

Judgment will be entered through the filing of this order and judgment. (Code Civ. Proc., § 668.5.) Plaintiff and the members of the Class will take from the operative complaint only the relief set forth in the settlement agreement and this order and judgment. Pursuant to Rule 3.769(h) of the California Rules of Court, the Court will retain jurisdiction over the parties to enforce the terms of the settlement agreement and the final order and judgment.

The Court sets a compliance hearing for **April 1, 2027 at 2:30 P.M.** in Department 22. At least ten court days before the hearing, Class Counsel and the settlement administrator shall submit a summary accounting of the net settlement fund identifying distributions made as ordered herein; the number and value of any uncashed checks; amounts remitted pursuant to Code of Civil Procedure section 384, subdivision (b); the status of any unresolved issues; and any other matters appropriate to bring to the Court's attention. Counsel shall also submit an amended judgment as described in Code of Civil Procedure section 384, subdivision (b). Counsel may appear at the compliance hearing remotely.

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Calendar Line 5

Case Name: *Garcia, et al. v. Norcal Pool Construction, Inc., et al.*

Case No.: 22CV394263

This is a putative class and Private Attorneys General Act (“PAGA”) action. Plaintiffs Jessie Garcia and Miguel Angel Gonzalez Ochoa allege defendants Norcal Pool Construction, Inc. (“Norcal Pool”) and Gustavo Negrete Rodriguez (“Negrete”)(collectively, “Defendants”) committed various wage and hour violations.

Before the Court is Plaintiffs’ motion for preliminary approval of class action and PAGA settlement, which is unopposed. As discussed below, the Court GRANTS the motion.

IX. BACKGROUND

According to the allegations of the operative third amended complaint (“TAC”), Plaintiff Garcia was employed by Norcal Pool April 5, 2021 to October 27, 2021 as a non-exempt, hourly employee. (TAC, ¶¶ 10, 28.) Plaintiff Ochoa was employed from December 7, 2020 to May 9, 2022 as a non-exempt, hourly employee. (TAC, ¶¶ 11, 29.) Defendants failed to: provide meal periods or compensation in lieu thereof; provide rest periods or compensation in lieu thereof; timely pay wages; pay minimum or overtime wages; maintain accurate records; and provide itemized wage statements.

Based on the foregoing, Plaintiff Garcia initiated this action on February 10, 2022, with the filing of the Complaint, which asserted the following causes of action: (1) failure to provide meal periods and/or timely pay premium wages; (2) failure to provide rest periods and/or timely pay premium wages; (3) failure to pay all minimum and/or regular wages; (4) failure to pay all overtime wages; (5) failure to reimburse for necessary business expenses; (6) failure to maintain accurate records; (7) failure to furnish accurate itemized wages statements; (8) failure to timely pay all wages due and owing upon separation of employment and/or the required waiting time penalties; and (9) violation of the Unfair Competition Law. On April 11, 2022, Plaintiff Garcia filed the first amended complaint, which asserted the same causes of action and added a claim for civil penalties under PAGA. On September 14, 2022, he filed the second amended complaint, which asserted the following causes of action: (1) failure to provide meal periods and/or timely pay premium wages; (2) failure to provide rest periods and/or timely pay premium wages; (3) failure to provide recovery periods and/or timely pay minimum wages; (4) failure to pay all minimum and/or regular wages; (5) failure to pay all overtime wages; (6) failure to reimburse for necessary business expenses; (7) failure to maintain accurate records; (8) failure to furnish accurate itemized wages statements; (9) failure to timely pay all wages due and owing upon separation of employment and/or the required waiting time penalties; (10) violation of the Unfair Competition Law; and (11) PAGA penalties. On January 1, 2025, Plaintiffs filed the operative TAC, which added Plaintiff Ochoa to this action.

Plaintiffs now move for an order preliminarily approving the settlement; conditionally certifying the class for settlement purposes; approving and directing the distribution of the class notice; appointing Plaintiffs as class representatives; appointing Vilmarie Cordero and Ommar Chavez of ARCH Legal, P.C. as Class Counsel; appointing Apex Class Action LLC (“Apex”) as the settlement administrator; and scheduling a Final Approval Hearing.

X. LEGAL STANDARDS FOR SETTLEMENT APPROVAL

E. Class Action

Generally, “questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234–235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244–245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs’ case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of relevant factors, depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the “proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned.” (*Ibid.*, citation and internal quotation marks omitted.) The trial court also must independently confirm that “the consideration being received for the release of the class members’ claims is reasonable in light of the strengths and weaknesses of the claims and the risks of the particular litigation.” (*Kullar, supra*, 168 Cal.App.4th at p. 129.) Of course, before performing its analysis the trial court must be “provided with basic information about the nature and magnitude of the claims in question and the basis for concluding that the consideration being paid for the release of those claims represents a reasonable compromise.” (*Id.* at pp. 130, 133.)

B. PAGA

Labor Code section 2699, subdivision (l)(2) provides that “[t]he superior court shall review and approve any settlement of any civil action filed pursuant to” PAGA. The court’s review “ensur[es] that any negotiated resolution is fair to those affected.” (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639, 2022 U.S. LEXIS 2940.)

Similar to its review of class action settlements, the Court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of

the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76–77.) It must make this assessment “in view of PAGA’s purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.” (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 [“when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public ...”], quoting LWDA guidance discussed in *O’Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O’Connor*).)

The settlement must be reasonable in light of the potential verdict value. (See *O’Connor, supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-CV-02198-EMC) 2016 WL 5907869, at *8–9.)

XI. SETTLEMENT PROCESS

On December 23, 2021, Plaintiff Garcia served his written notice to Defendants and the Labor and Workforce Development Agency (“LWDA”). He filed his complaint on February 10, 2022 and his first amended complaint on April 11, 2022. On June 10, 2022, he served his second LWDA notice and on September 14, 2022, he filed his second amended complaint. The Court granted Plaintiff Garcia’s request for leave to amend and he filed the operative TAC on January 22, 2025, which added Plaintiff Ochoa to this action.

Plaintiffs engaged in extensive formal discovery—they propounded three sets of special interrogatories and four sets of requests for production of documents. The parties also engaged in significant motion practice before they agreed to participate in mediation. On April 16, 2024, they participated in mediation with Scott Markus, an experienced and well-known wage and hour class action mediator, which did not result in a settlement, but the parties agreed to continue settlement discussions. On January 6, 2025, Defendants substituted Michael Manoukian as counsel and the parties continued their settlement negotiations. On July 11, 2025, the parties agreed to settle and they executed the long form settlement agreement (the “Settlement”) on June 30, 2026.

XII. SETTLEMENT PROVISIONS

The non-reversionary gross settlement amount is \$420,000.00. Attorneys fees of up to one-third (\$140,000), litigation costs of up to \$25,000, and administration costs of up to \$10,490. \$20,000 will be allocated to PAGA penalties, 75% of which (\$15,000) will be paid to the LWDA and 25% of which (\$5,000) will be distributed to “Aggrieved Employees”, who are defined as “a person employed by Norcal in California and classified as a nonexempt employee who worked for Norcal during the PAGA Period [December 7, 2020 to December 31, 2025].”³ Plaintiffs will seek class representative awards as follows: \$7,500 to Plaintiff Garcia and \$5,000 to Plaintiff Ochoa.

³ Plaintiffs’ memorandum of points and authorities uses the phrases “PAGA Group Members,” however, the Settlement uses and defines “Aggrieved Employees,” thus, the Court will use the latter.

The net settlement amount—estimated to be \$215,010—will be allocated to Class Members who are defined as “[a]ll current and former nonexempt employees of Defendants who performed work in California during the period commencing February 10, 2018, to December 31, 2025, or the date upon which the Class Members’ workweeks equal to but don’t exceed 59,544, whichever occurs first.” For tax purposes, 25% of each Class Member’s settlement payment will be allocated to wages and 75% will be allocated to interests and penalties. Defendant will pay the employer side payroll taxes separate and apart from the Settlement. Funds associated with checks uncashed after 180 days will be transmitted to Legal Aid at Work.

In exchange for settlement, Class Members who do not opt out will release:

[A]ll claims that were alleged, or reasonably could have been alleged, based on the Class Period facts stated in the Operative Complaint and ascertained or which could have been ascertained in the course of the Action.

PAGA Members, who consistent with the statute will not be able to opt out of the PAGA portion of the settlement, will release:

[A]ll claims for PAGA penalties that were alleged, or reasonably could have been alleged, based on the PAGA Period facts stated in the Operative Complaint and the PAGA Notice and ascertained in the course of the Action.

The foregoing releases are appropriately tailored to the allegations at issue. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 537.)

XIII. FAIRNESS OF SETTLEMENT

Based on available data provided by Defendants, Class Counsel calculated Defendant’s maximum exposure as follows: \$4,859,606.40 (meal period claims); \$5,163,331.80 (rest period claims); \$297,650.89 (recovery period claims); \$2,457,897.80 (failure to pay overtime); \$595,440 (failure to reimburse business expenses; \$2,800,000 (wage statement statutory penalties)—totaling \$16,173,926.89. Class Counsel also calculated the maximum exposure for the PAGA penalties to be \$17,670,000.

Class Counsel then considered the risks associated with class certification, continued litigation, any dispositive motions by Defendants, the possibility that damages could be decreased or the difficulties in providing individualized proof, and Defendants’ defenses.

Accordingly, Class Counsel calculated Defendants’ realistic exposure as follows: \$8,086,963.45. Class Counsel then further discounted the value based on the chance of Defendants’ defenses having merit and the possibility of the Court granting partial summary judgment to \$4,043,481.72. Class Counsel discounted the PAGA penalties to \$4,417,500 and further considered the costs of continued litigation which would exceed \$500,000 to \$1,000,000. Based on the foregoing, Class Counsel estimates the realistic exposure to be around \$1,500,000 to \$2,000,000.

The gross settlement amount is approximately 1.24% of the maximum exposure, which is well below the range of recoveries typically approved by California courts. (See *Cavazos v.*

Salas Concrete, Inc. (E.D. Cal., Feb 18, 2022, No. 1:19-cv-00062-DAD-EPG) 2022 U.S. Dist. LEXIS 30201, at *41-42 [citing cases approving settlements in the range of 5 to 35 percent of the maximum potential exposure].) However, it is 5.19% of the first realistic exposure figure, 10.38% of the discounted realistic exposure figure, and it is 21%-28% of the final realistic exposure figure. All of these are within the range of exposures typically approved by California courts.

Considering the portion of the case's value attributable to uncertain penalties, claims that could be difficult to certify for class treatment, and the multiple, dependent contingencies that Plaintiffs would have had to overcome to prevail on the claims, the settlement achieves a good result for the Class. For purposes of preliminary approval, the Court finds that the settlement is fair and reasonable to the Class, and the PGA allocation is genuine, meaningful, and reasonable in light of the statute's purposes.

XIV. PROPOSED SETTLEMENT CLASS

Plaintiffs request certification of the following class for settlement purposes:

All current and former nonexempt employees of Defendants who performed work in California during the [Class Period].

A. Legal Standard for Certifying a Class for Settlement Purposes

Rule 3.769(d) of the California Rules of Court states that “[t]he court may make an order approving or denying certification of a provisional settlement class after [a] preliminary settlement hearing.” California Code of Civil Procedure Section 382 authorizes certification of a class “when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court”

Section 382 requires the plaintiff to demonstrate by a preponderance of the evidence: (1) an ascertainable class and (2) a well-defined community of interest among the class members. (*Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326, 332 (*Sav-On Drug Stores*)).) “Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing.” (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.) The plaintiff has the burden of establishing that class treatment will yield “substantial benefits” to both “the litigants and to the court.” (*Blue Chip Stamps v. Superior Court* (1976) 18 Cal.3d 381, 385.)

In the settlement context, “the court’s evaluation of the certification issues is somewhat different from its consideration of certification issues when the class action has not yet settled.” (*Luckey v. Superior Court* (2014) 228 Cal.App.4th 81, 93.) As no trial is anticipated in the settlement-only context, the case management issues inherent in the ascertainable class determination need not be confronted, and the court’s review is more lenient in this respect. (*Id.* at pp. 93–94.) But considerations designed to protect absentees by blocking unwarranted or overbroad class definitions require heightened scrutiny in the settlement-only class context, since the court will lack the usual opportunity to adjust the class as proceedings unfold. (*Id.* at p. 94.)

B. Ascertainable Class

A class is ascertainable “when it is defined in terms of objective characteristics and common transactional facts that make the ultimate identification of class members possible when that identification becomes necessary.” (*Noel v. Thrifty Payless, Inc.* (2019) 7 Cal.5th 955, 980 (*Noel*)). A class definition satisfying these requirements

puts members of the class on notice that their rights may be adjudicated in the proceeding, so they must decide whether to intervene, opt out, or do nothing and live with the consequences. This kind of class definition also advances due process by supplying a concrete basis for determining who will and will not be bound by (or benefit from) any judgment.

(*Noel, supra*, 7 Cal.5th at p. 980, citation omitted.)

“As a rule, a representative plaintiff in a class action need not introduce evidence establishing how notice of the action will be communicated to individual class members in order to show an ascertainable class.” (*Noel, supra*, 7 Cal.5th at p. 984.) Still, it has long been held that “[c]lass members are ‘ascertainable’ where they may be readily identified ... by reference to official records.” (*Rose v. City of Hayward* (1981) 126 Cal. App. 3d 926, 932, disapproved of on another ground by *Noel, supra*, 7 Cal.5th 955; see also *Cohen v. DIRECTV, Inc.* (2009) 178 Cal.App.4th 966, 975-976 [“The defined class of all HD Package subscribers is precise, with objective characteristics and transactional parameters, and can be determined by DIRECTV’s own account records. No more is needed.”].)

Here, the estimated 700 Class members are readily identifiable based on Defendants’ records, and the settlement Class is appropriately defined based on objective characteristics. The Court finds that the settlement Class is numerous, ascertainable, and appropriately defined.

C. Community of Interest

The “community-of-interest” requirement encompasses three factors: (1) predominant questions of law or fact, (2) class representatives with claims or defenses typical of the class, and (3) class representatives who can adequately represent the class. (*Sav-On Drug Stores, supra*, 34 Cal.4th at pp. 326, 332.)

For the first community of interest factor, “[i]n order to determine whether common questions of fact predominate the trial court must examine the issues framed by the pleadings and the law applicable to the causes of action alleged.” (*Hicks v. Kaufman & Broad Home Corp.* (2001) 89 Cal.App.4th 908, 916 (*Hicks*)). The court must also examine evidence of any conflict of interest among the proposed class members. (See *J.P. Morgan & Co., Inc. v. Superior Court* (2003) 113 Cal.App.4th 195, 215.) The ultimate question is whether the issues which may be jointly tried, when compared with those requiring separate adjudication, are so numerous or substantial that the maintenance of a class action would be good for the judicial process and to the litigants. (*Lockheed Martin Corp. v. Superior Court* (2003) 29 Cal.4th 1096, 1104–1105 (*Lockheed Martin*)). “As a general rule if the defendant’s liability can be determined by facts common to all members of the class, a class will be certified even if the members must individually prove their damages.” (*Hicks, supra*, 89 Cal.App.4th at p. 916.)

Here, common legal and factual issues predominate. Plaintiffs' claims all arise from Defendants' wage and hour practices.

As for the second factor,

The typicality requirement is meant to ensure that the class representative is able to adequately represent the class and focus on common issues. It is only when a defense unique to the class representative will be a major focus of the litigation, or when the class representative's interests are antagonistic to or in conflict with the objectives of those she purports to represent that denial of class certification is appropriate. But even then, the court should determine if it would be feasible to divide the class into subclasses to eliminate the conflict and allow the class action to be maintained.

(*Medraza v. Honda of North Hollywood* (2008) 166 Cal. App. 4th 89, 99, internal citations, brackets, and quotation marks omitted.)

Like the other members of the proposed Class, Plaintiffs were employed by Defendants and allege that they experienced the conduct at issue. The anticipated defenses are not unique to Plaintiffs, and there is no indication that Plaintiffs' interests are otherwise in conflict with those of the proposed Class.

Finally, adequacy of representation "depends on whether the plaintiff's attorney is qualified to conduct the proposed litigation and the plaintiff's interests are not antagonistic to the interests of the class." (*McGhee v. Bank of America* (1976) 60 Cal.App.3d 442, 450.) The class representative does not necessarily have to incur all of the damages suffered by each different class member in order to provide adequate representation to the class. (*Wershba, supra*, 91 Cal.App.4th at p. 238.) "Differences in individual class members' proof of damages [are] not fatal to class certification. Only a conflict that goes to the very subject matter of the litigation will defeat a party's claim of representative status." (*Ibid.*, internal citations and quotation marks omitted.)

Plaintiffs have the same interest in maintaining this action as any Class Member would have. Further, they have hired experienced counsel. Plaintiffs have sufficiently demonstrated adequacy of representation.

D. Substantial Benefits of Class Certification

"[A] class action should not be certified unless substantial benefits accrue both to litigants and the courts. . . ." (*Basurco v. 21st Century Ins.* (2003) 108 Cal.App.4th 110, 120, internal quotation marks omitted.) The question is whether a class action would be superior to individual lawsuits. (*Ibid.*) "Thus, even if questions of law or fact predominate, the lack of superiority provides an alternative ground to deny class certification." (*Ibid.*) Generally, "a class action is proper where it provides small claimants with a method of obtaining redress and when numerous parties suffer injury of insufficient size to warrant individual action." (*Id.* at pp. 120–121, internal quotation marks omitted.)

Here, there are an estimated 700 Class Members. It would be inefficient for the Court to hear and decide the same issues separately and repeatedly for each class member. Further, it

would be cost prohibitive for each Class member to file suit individually, as each member would have the potential for little to no monetary recovery. It is clear that a class action provides substantial benefits to both the litigants and the Court in this case.

XV. NOTICE

The content of a class notice is subject to court approval. (Cal. Rules of Court, rule 3.769(f).) “The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement.” (*Ibid.*) In determining the manner of the notice, the court must consider: “(1) The interests of the class; (2) The type of relief requested; (3) The stake of the individual class members; (4) The cost of notifying class members; (5) The resources of the parties; (6) The possible prejudice to class members who do not receive notice; and (7) The res judicata effect on class members.” (Cal. Rules of Court, rule 3.766(e).)

Here, the notice, which will be provided in English, informs the Class Members of the nature of the lawsuit and their rights under the terms of the Settlement and applicable law. It includes: a detailed explanation of the case, including the basic contentions or denials of the Parties and the basic terms of the Settlement; a statement that the court will exclude the member from the Class if they request so by a specified date; a procedure for the member to follow in requesting exclusions from the Class; an explanation that members of the Class can participate in the Settlement by doing nothing; a statement that the judgment, whether favorable or not, will bind all members who do not request exclusion; and a statement that any member who does not request exclusion may, if the member so desires, enter an appearance through counsel. Class Members are given 45 days to exclude themselves or object.

The form of notice is generally adequate but must be modified to instruct Class Members that they may opt out of or object to the settlement simply by providing their name, without needing to provide personal information.

Regarding appearances at the final fairness hearing, the notice shall be modified to instruct class members as follows:

Although class members may appear in person, the judge overseeing this case encourages remote appearances. Class members who wish to appear remotely should contact class counsel at least three days before the hearing if possible. Remote appearances must be made through UDC, unless otherwise arranged with the Court. Please go to <https://santaclara.courts.ca.gov/online-services/remote-hearings> to find the appropriate link. Also, please note that that you must register in advance to appear remotely..

Turning to the notice procedure, as articulated above, the parties have selected Apex. No later than 15 days after preliminary approval is entered, Norcal will deliver the Class Data to Apex. Apex, in turn, will mail the notice within 14 days of receiving the Class List. Any returned notices will be promptly re-mailed to any forwarding address provided within 3 days. If no forwarding address is found, Apex shall conduct an investigation for one and if one is found, Apex shall re-mail the notice. The response deadline will be extended by 14 days for

Class Members' whose notice is re-mailed. These notice procedures are appropriate and are approved.

XVI. SERVICE AWARDS, FEES, AND COSTS

Plaintiffs request a service award of \$7,500 (Plaintiff Garcia) and \$5,000 (Plaintiff Ochoa).

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation.

These "incentive awards" to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted; see also *Covillo v. Specialty's Café* (N.D. Cal. 2014) 2014 U.S.Dist.LEXIS 29837, at *29 [incentive awards are particularly appropriate where a plaintiff undertakes a significant "reputational risk" in bringing an action against an employer].)

Plaintiffs submitted their declarations in support of their request. Plaintiff Garcia states he spent approximately 70 hours on this action, which includes communicating with Class Counsel, locating documents, and reviewing documents. (Declaration of Plaintiff Garcia ("Garcia Decl."), ¶¶ 30-40, 44.) He further states that he considered the personal, professional, and financial risks of participating in this action. (Garcia Decl., ¶ 46.) Plaintiff Ochoa states he spent approximately 30 hours on this action, which includes communicating with Class Counsel, locating documents, and reviewing documents. (Declaration of Plaintiff Ochoa ("Ochoa Decl.", ¶¶ 25-36, 42.) He further states that he considered the personal, professional, and financial risks of participating in this action. (Ochoa Decl., ¶¶ 28, 41, 43-44.) The Court finds Plaintiffs are entitled to a service award and the respective amounts requested are reasonable. Thus, Plaintiffs' requests are preliminarily approved.

The request for administrative costs in the amount of \$10,490 is supported by the declaration of Sean Hartranft, CEO of Apex. Thus, it is approved.

The court also has an independent right and responsibility to review the requested attorney fees and only award so much as it determines reasonable. (See *Garabedian v. Los Angeles Cellular Telephone Co.* (2004) 118 Cal.App.4th 123, 127-128.) Class Counsel will seek attorneys' fees of up to one-third of the gross settlement amount (currently estimated to be \$140,000), and litigation costs for up to \$25,000. Prior to any final approval hearing, Class Counsel shall submit lodestar information (including hourly rate and hours worked) as well as evidence of actual litigation costs incurred.

XVII. CONCLUSION

Plaintiffs' motion for preliminary approval is GRANTED.

The final approval hearing shall take place on **January 21, 2027** at 1:30 in Department 22. The following Class is preliminarily certified for settlement purposes:

All current and former nonexempt employees of Defendants who performed work in California during the [Class Period].

The Court will prepare the order.

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Calendar Line 6

Case Name: *Victor Rangel v. President and Board of Trustees of Santa Clara College, et al.*
Case No.: 23CV413920

This is a putative class and representative Private Attorneys General Act (“PAGA”) action. Plaintiff Victor Rangel alleges defendant Presidents and Board of Trustees of Santa Clara College (“SCU” or “Defendant”) committed various wage and hour violations.

Before the Court is Plaintiff’s motion to enforce the August 21, 2024 Discovery Order and for sanctions, which is opposed by Defendant. As discussed below, the Court GRANTS the motion to enforce and GRANTS Plaintiff’s request for sanctions, at a reduced amount.

XVIII. BACKGROUND

According to the allegations of the operative first amended complaint (“FAC”), Plaintiff alleges Defendants engaged in a systemic pattern of wage and hour violations under the Labor Code and Industrial Welfare Commission Wage Orders. (FAC, ¶ 3.) Specifically, Plaintiff alleges Defendants failed to: pay all wages; provide meal periods and rest periods or provide compensation in lieu thereof; reimburse necessary business-related costs; provide accurate itemized wage statements; and pay all wages due upon separation of employment.

Based on the foregoing, Plaintiff initiated this action on March 30, 2023, with the filing complaint and on July 9, 2023, he filed the FAC, which asserts claims for: (1) failure to pay minimum wages; (2) failure to pay overtime wages; (3) failure to provide meal periods; (4) failure to rest breaks; (5) failure to reimburse business expenses; (6) failure to provide accurate itemized wage statements; (7) failure to pay wages timely during employment; (8) failure to pay all wages due upon separation of employment; (9) violation of Business and Professions Code section 17200, *et seq.*; and (10) enforcement of Labor Code § 2698, *et seq.*

On August 14, 2024, the Court (Hon. Adams) issued its order (the “Discovery Order”) which granted Plaintiff’s motions to compel, in part and denied them, in part. Plaintiff moves to an order enforcing the Discovery Order and for sanctions. On July 24, 2025, the Court entered its order, which granted Plaintiff’s motion for preliminary approval. On January 21, 2026, the Court (Hon. Adams) issued its order (the “Sanctions Order”), which denied Plaintiff’s motions for sanctions against Defendant.

I. MOTION TO ENFORCE THE DISCOVERY ORDER

Plaintiff moves for an order regarding request for production of documents Nos. 3 & 5; and monetary sanctions in the amount of \$25,000.

Misuses of the discovery process include, but are not limited to: disobeying a court order to provide discovery. (See Code Civ. Proc., § 2023.010, subd. (g).) “[I]f a party fails to obey an order compelling further responses, the court may make those orders that are just, including the imposition of an issue sanction, an evidence sanction, or a termination sanction... in lieu of, or in addition to, that sanction, the court may impose a monetary sanction.” (Code Civ. Proc., § 2031.310, subd. (i); see also Code Civ. Proc., § 2030.300 [interrogatories].)

Plaintiff argues that Defendant did not comply with the Discovery Order nor did it cure that failure at any time. (Plaintiff’s Memorandum of Points and Authorities (“MPA”), p. 2:25-

26.) On July 24, 2025, the Court granted Plaintiff's motion for preliminary approval. (MPA, p. 4:1.) Defendant was supposed to provide the Class data to the settlement administrator, ILYM Group, Inc., by August 8, 2025. (MPA, p. 4:2-3.) Using the information received, ILYM concluded that the conversion from pay periods to workweeks would trigger the escalator clause. (MPA, p. 4:3-6.) Defendant said it needed to review the issue and did not provide a response as to whether it would pay pursuant to the escalator clause or provide revised class data reflecting a precise cut-off date. (MPA, p. 4:6-8.) Subsequently, Plaintiff moved for sanctions based on Defendant's behavior and on January 21, 2026, the Court (Hon. Adams) issued its order (the "Sanctions Order"), which denied Plaintiff's motions for sanctions against Defendant. (MPA, p. 4:9-15.)

On January 15, 2026, ILYM circulated revised calculated and a proposed mailing date and defense counsel approved the revised calculations the same day—Plaintiff did not approve the calculations because the total workweek count appeared to decrease. (MPA, p. 4:17-23.) Plaintiff requested the complete time and pay records used to calculate class workweeks and PAGA pay periods, along with documentation sufficient to identify who had been removed from the class and on what basis. (MPA, p. 4:24-26.) On January 22, 2026, defense counsel Sara Moore ("Moore") said that Defendant was preparing a proposal, however, it would not agree to provide all the time and payroll records for the putative class because such a production was not required by the settlement. (MPA, pp. 4:26-5:3.) Defendant failed to send the proposal nor did it provide substantive communication explaining the discrepancy or producing underlying time and payroll data needed to evaluate Defendant's numbers. (MPA, p. 5:4-9.)

In its opposition, Defendant disputes the need for full production. (Defendant's July 2026 Opposition ("Opp."), pp. 7:22-6:9.) It further states it "commits to completing and submitting its supplemental class data file to ILYM no later than July 17, 2026...and will file a declaration with the Court by that date confirming the submission and summarizing the corrected figures along with a proposed date by which ILYM can complete the verification and mailing process." (Opp., pp. 8:27-9:3.) The Court's docket does not reflect a timely filed declaration or a late filed one besides the declaration filed in support of Defendant's opposition. Therefore, there is no evidence before the Court of an supplemental data sent to ILYM or to Plaintiff. Plaintiff states in his reply, "when [Plaintiff's counsel] called ILYM on July 16, 2026, at 5:00 pm, the evening before the Defendant claims its data would be produced, ILYM was shocked to learn that Defendant was going to send them anything, as they have not responded to their communications or initiated any communications regarding verification." (Plaintiff's Reply ("Reply"), p. 19-22.)

In its Sanctions Order, the Court (Hon. Adams) stated that,

Defendant did not diligently engage with schedule needed to finalize the settlement after preliminary approval. Indeed, from September 11, 2025, through at least the hearing on this motion, Defendant failed to *clearly communicate with Plaintiff*—first, regarding how it intended to proceed with the escalator clause and second, whether it had provided all of the necessary information to the claims administrator for notice to be sent to the class. In fact, in response to contacts from Plaintiff's counsel, it is apparent that Defendant's counsel simply could have provided a short status update if Defendant needed more time or was working on gathering information rather than not responding

at all. Moreover, it appears that Defendant also *delayed its communications with the claims administrator or failed to confirm that the administrator had all of the information it needed to proceed*. That type of conduct is discourteous and unacceptable, and Plaintiff and Plaintiff's counsel were understandably frustrated.

(Sanctions Order, pp. 6:22-7:8 [emphasis added].)

Based on the evidence submitted by Plaintiff's counsel Victoria Harp ("Harp"), it appears this conduct is ongoing. (Harp Declaration ("Decl."), Exh. B.) Moreover, in lieu of communicating with opposing counsel or the settlement administrator, defense counsel continues to act unilaterally without explanation, despite the already protracted settlement process administration process.

The Court is not persuaded by Defendant's assertions that its substantial compliance with the Discovery Order is sufficient address the issues at present. Here, it is undisputed that full production in compliance with the Discovery Order did not occur. (See MPA, p. 2:25-28; Opp., p. 9:12-21.) Defendant fails to cite to any authority in support of its arguments that substantial compliance and/or good faith efforts to produce some responsive information is sufficient to overcome the obligation created by the Discovery Order, which was not narrowed at any time.

Moreover, Defendant states that since January 2026, it "has re-reviewed the figures and prepared a supplemental class list which addresses the lower workweek count. Although these numbers have not been finalized or approved, it is clear that further revisions to the figures shared in January 2026 will be necessary to ensure they are accurate." (Opp., p. 7:12-16.) In this Court's view, it is prudent for Defendant to produce the records pursuant to the Discovery Order so that Plaintiff can also analyze the figures, rather than Defendant providing information on its own timeline, which defense counsel has had trouble adhering to, and in the piecemeal fashion that it has been providing it in.

Thus, while production of the underlying time and payroll records pursuant to the Discovery Order may be beyond what the parties agreed was required at the time they agreed on the Settlement, it appears to the Court that it is necessary in order for the Settlement to proceed.

Accordingly, Plaintiff's motion to enforce the Discovery Order is GRANTED. Defendant is ordered to provide verified, code-compliant responses within 30 days of this order.

XIX. REQUEST FOR SANCTIONS

Plaintiff moves for sanctions against Defendant and/or defense counsel in the amount of \$25,000.

When misuse of the discovery process occurs, the Court may impose whatever sanctions are just, including issue sanctions, evidentiary sanctions, and monetary sanctions as follows:

The court may impose a monetary sanction ordering that one engaging in the misuse of the discovery process, or any attorney advising that conduct, or both

pay the reasonable expenses, including attorney's fees, incurred by anyone as a result of that conduct. The court may also impose this sanction on one unsuccessfully asserting that another has engaged in the misuse of the discovery process, or on any attorney who advised that assertion, or on both. If a monetary sanction is authorized by any provision of this title, the court shall impose that sanction unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust.
(Code Civ. Proc. § 2023.030, subd. (a).)

It is the moving party's burden to demonstrate the responding party's failure to obey the earlier discovery order. Then the burden of proof shifts to the party seeking to avoid sanctions to establish a suitable justification for his or her conduct. (*Corns v. Miller* (1986) 181 Cal.App.3d 195, 201 (*Corns*).) Other than for contempt, "disobedience" of a court order does not require a showing of willfulness, just a failure to obey. (Weil & Brown, *supra*, at ¶ 8:860; citing *Puritan Ins. Co. v. Super. Ct.* (1985) 171 Cal.App.3d 877, 884; *Societe Internationale v. Rogers* (1958) 357 U.S. 197, 208.) "[T]he phrase 'substantial justification' has been understood to mean that a justification is clearly reasonable because it is well grounded in both law and fact." (*Doe v. United States Swimming, Inc.* (2011) 200 Cal.App.4th 1424, 1434 (*Doe*).)

Here, Plaintiff met the burden to demonstrate Defendant's failure to obey the Discovery Order. Defendant contends its good faith conduct and substantial compliance justify its failure to comply with the Discovery Order. Defendant argues that it did not comply with the Discovery Order because the parties agreed on the Settlement and Plaintiff agreed to accept a sampling of time and pay records for mediation purposes. However, both parties detail extensive post-administration conduct since Plaintiff's motion for preliminary approval was granted. Defendant fails to offer any explanation or justification regarding its failure to provide the necessary information, especially as, by its own admission, the figures provided have not been complete and/or fully-reconciled. (See Opp., p. 8:19-24.) Moreover, Defendant has repeatedly set deadlines and represented to the Court that it will adhere to them but failed to do so without explanation. Thus, the Court cannot conclude that defense counsel acted with substantial justification in disobeying the Discovery Order, especially after the disputes regarding the Class Members and workweeks persisted. As a result, it finds sanctions are warranted in this instance. However, the Court finds the amount requested to be excessive. Thus, it will award Plaintiff a reduced amount of \$12,560 (\$625/hour x 20 hours + \$60).

Accordingly, Plaintiff's request for sanctions is GRANTED at a reduced amount.

XX. CONCLUSION

Plaintiff's motion to enforce the Discovery Order is GRANTED and the request for sanctions is GRANTED at a reduced amount of \$12,560. Defendant is ordered to provide verified, code-compliant responses within 30 days of this order.

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Calendar Line 7

Case Name: *Olguin v. Talamo Food Services, Inc., et al.*

Case No.: 23CV426584

This is a representative action under the Private Attorneys General Act (“PAGA”). Plaintiff Anabel Olguin alleges that defendant Talamo Food Service, Inc. committed various wage and hour violations and she seeks PAGA penalties for those violations.

Before the Court is Plaintiff’s motion for approval of PAGA settlement, which is unopposed. As discussed below, the Court GRANTS the motion.

XXI. BACKGROUND

According to the allegations of the operative Complaint, Defendant is in the business of processing cheese for food service, retailers, and commercial businesses. (Complaint, ¶ 12.) Plaintiff was employed as a Production Packer from approximately 2018 to May 31, 2023, and her primary duties included packing different types of cheese and sealing it in the appropriate labeled bag. (Complaint, ¶ 13.) Defendant failed to: provide compliant meal periods or compensation in lieu thereof; provide rest periods or compensation in lieu thereof; pay overtime wages; pay minimum wages; timely pay wages during employment; pay all wages due to discharged and quitting employees; and furnish accurate itemized wage statements.

Based on the foregoing, Plaintiff initiated this action on November 30, 2023, with the filing of the operative Complaint seeking a single claim for civil penalties under PAGA.

Plaintiff now seeks an order: approving the PAGA settlement; approving reasonable attorneys’ fees; approving Phoenix Settlement Administrators (“Phoenix”) as the administrator; approving administration costs to Phoenix; and dismissing this action with prejudice.

XXII. LEGAL STANDARD FOR APPROVING PAGA SETTLEMENT

Under PAGA, an aggrieved employee may bring a civil action personally and on behalf of other current or former employees to recover civil penalties for Labor Code violations. (*Iskanian v. CLS Transp. Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639 [2022 U.S. LEXIS 2940].) 75 percent of any penalties recovered go to the Labor and Workforce Development Agency (LWDA), leaving the remaining 25 percent for the employees. (*Ibid.*) PAGA is intended “to augment the limited enforcement capability of [LWDA] by empowering employees to enforce the Labor Code as representatives of the Agency.” (*Id.* at p. 383.) A judgment in a PAGA action binds all those, including nonparty aggrieved employees, who would be bound by a judgment in an action brought by the government. (*Id.* at p. 381.)

Labor Code section 2699, subdivision (1)(2) provides that “[t]he superior court shall review and approve any settlement of any civil action filed pursuant to” PAGA. The court’s review “ensur[es] that any negotiated resolution is fair to those affected.” (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) “[C]lass certification is not required” in this context as in a class action. (*Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 (*Haralson*).)

Similar to its review of class action settlements, the Court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76–77 (*Moniz*).) It must make this assessment “in view of PAGA’s purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.” (*Id.* at p. 77; see also *Haralson, supra*, 383 F. Supp. 3d at p. 971 [“when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public”], quoting LWDA guidance discussed in *O’Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O’Connor*).)

The settlement must be reasonable in light of the potential verdict value. (See *O’Connor, supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-CV-02198-EMC) 2016 WL 5907869, at *8–9.)

XXIII. PLAINTIFF’S INVESTIGATION, SETTLEMENT PROCESS, AND THE PARTIES’ AGREEMENT

Plaintiff initiated this action on November 30, 2023, with the filing of the operative Complaint seeking a single claim for civil penalties under PAGA. Prior to filing her Complaint, Plaintiff gave notice to the Labor and Workforce Development Agency (“LWDA”).

The parties engaged in formal and informal discovery, which included the exchange of wage and hour documents regarding Defendant’s alleged Labor Code violations. Defendant produced documents such as Plaintiff’s employee files, 50% of time records and wage statements of Aggrieved Employees, policy documents relating compensation, and start end dates.

The parties engaged in extensive settlement negotiations and eventually executed the settlement agreement (“Settlement”) currently before the Court.

Pursuant to the Settlement, Defendant will pay a non-reversionary gross settlement of \$150,000, which is comprised of \$50,000 in attorneys’ fees, litigation costs not to exceed \$20,000, and \$4,500 in administration costs. The \$75,500 in PAGA penalties will be distributed 75% (\$56,625) to the LWDA and 25% (\$18,875) will be distributed to “PAGA Members” who are defined as “all persons who are or were employed by Defendant as hourly paid, non-exempt employees in the State of California at any time during the PAGA Period [September 26, 2022 to April 3, 2025].” It is estimated there are 124 PAGA Members.

In exchange for settlement, PAGA Members will release:

Any and all claims for civil penalties, under the California Private Attorneys General Act of 2004, California Labor Code sections 2698 et seq. (“PAGA”)

alleged in the operative Complaint in the Action and notice submitted to the LWDA or that could have been pled based on the facts alleged in the operative Complaint in the Action and notice submitted to the LWDA in connection with the Action, including all interest, fees, and costs as against the Released Parties during the Release Period. The Released Claims include claims for civil penalties under PAGA for the following alleged violations of the California Labor Code and related regulations during the Release Period: failure to pay minimum wages, straight time compensation, overtime compensation, and double-time compensation; failure to provide compliant meal periods; failure to provide compliant rest periods; failure to pay proper meal and rest period penalties; failure to maintain accurate records, including records of hours worked; failure to provide and maintain accurate itemized wage statements; failure to pay vacation time; failure to timely pay wages during employment; failure to timely pay wages at separation of employment; the failure to indemnify employees for necessary expenditures and/or losses incurred from the discharge of their duties; waiting time penalties; and including without limitation any and all potential claims for penalties recoverable under PAGA predicated upon California Labor Code Sections 201, 202, 203, 204, 210, 226, 226.3, 226.7, 227, 227.3, 510, 512, 558, 1174, 1174.5, 1194, 1197, 1197.1, 1198, 1199, 2698, 2699, 2800 and 2802, and any duplicative or similar provisions arising under the Wage Orders of the California Industrial Welfare Commission, including Industrial Wage Order No. 5.

The release is appropriately tailored to the allegations at issue, and does not release any claims other than those for PAGA penalties. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 537; *Moniz, supra*, 72 Cal.App.5th at p. 82 [release of “all known and unknown claims under PAGA ... that were or could have been pled based on the allegations of the Complaint” was appropriately approved].)

XXIV. DISCUSSION

A. Potential Verdict Value

In the Complaint, Plaintiffs allege meal period violations, rest break violations, unpaid wages, failure to pay overtime wages, failure to pay timely wages, and failure to maintain records. Plaintiff’s counsel calculates Defendant’s maximum exposure as \$730,000 based on multiplying 7,300 pay periods by \$100 each.

Plaintiff’s counsel then considered the risk of significant delay, uncertainty associated with litigation, the defendants asserted by Defendant, potential appellate issues, and the potential that the PAGA penalties would be significantly reduced.

The gross settlement amount represents approximately 20.5% of the maximum exposure. This is within the percentage range typically approved by courts. (See *Cavazos v. Salas Concrete, Inc.* (E.D. Cal., Feb. 18, 2022, No. 1:19-cv-00062-DAD-EPG) 2022 U.S. Dist. LEXIS 30201, at *41-42 [citing cases approving settlements in the range of 5 to 35 percent of the maximum potential exposure].)

Given this, as well as the risks attendant to proceeding to trial, Defendant's defenses and the likelihood that PAGA penalties would be significantly reduced in line with numerous appellate decisions, the Court finds that the proposed settlement is fair to those affected and is genuine, meaningful, and reasonable in light of the statute's purposes.

B. Attorneys' Fees

While the PAGA statute does not expressly require judicial review of claimed attorney fees, the Court believes it cannot adequately fulfill its statutory duty to review the penalties associated with PAGA settlements without also considering attorney fees. The Court thus finds that it must scrutinize the attorney fee arrangement associated with a PAGA settlement. This is consistent with the observation of many courts that PAGA claims are analogous to "*qui tam*" suits like those under the federal False Claims Act: when reviewing settlements of *qui tam* claims, courts should and do consider any associated attorney fee arrangement. (See *U.S. v. Texas Instruments Corp.* (9th Cir. 1994) 25 F.3d 725, 728 [attorney fee award must be considered by the trial court as part of its review of the "entire settlement arrangement"].)

As articulated above, Plaintiff seeks a fee award of \$50,000 in attorneys' fees. Plaintiff's counsel submits a lodestar figure of \$78,975 based on 105.1 hours at billing rates ranging from \$750 to 800 per hour resulting on a negative multiplier of 0.63. This is well short of the range of multipliers that courts typically approve. (See *Laffitte v. Robert Half Intern. Inc.* (2016) 1 Cal.5th 480, 488, 503–504 (*Laffitte*) [trial court did not abuse its discretion in approving fee award of 1/3 of the common fund, cross-checked against a lodestar resulting in a multiplier of 2.03 to 2.13]; *Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 255 ["[m]ultipliers can range from 2 to 4 or even higher"]; *Vizcaino v. Microsoft Corp.* (9th Cir. 2002) 290 F.3d 1043, 1051, fn. 6 [stating that multipliers ranging from one to four are typical in common fund cases and citing the court's own survey of large settlements finding "a range of 0.6–19.6, with most (20 of 24, or 83%) from 1.0–4.0 and a bare majority (13 of 24, or 54%) in the 1.5–3.0 range"].)

Here, given the amount of work performed by Plaintiff's counsel, and because the requested multiplier sought by them is well short of the range of multipliers regularly approved by California courts in similar actions, the Court finds counsel's requested fee award is reasonable and therefore it is approved.

C. Other Costs and Expenses

Plaintiffs' counsel requests litigation costs in the amount of \$14,773.02. This is supported by the declarations of Plaintiff's counsel Justin Lo and Jarrod Nakano and it is below the \$20,000.00 provided for in the Settlement. Thus, this amount appears reasonable and is approved.

Administration costs of \$4,500 are also approved.

XXV. ADMINISTRATION PROCESS

Pursuant to the terms of the Settlement, within 21 days of Court approval of its terms, Defendant will provide settlement administrator Phoenix with a list of all PAGA Members

with the relevant identifying information (including the last known home address) and the number of pay periods worked. Within 7 days of receiving the PAGA Member Data, Phoenix will provide Plaintiff's counsel with the number of unique PAGA Members and the number of pay periods worked during the PAGA Period. Phoenix will issue payments within 7 calendar days of the Settlement Funding Date. Each PAGA Member will be sent a check in the appropriate amount. Any checks returned as non-deliverable will promptly be re-mailed to the forwarding address provided; if none is, Phoenix will attempt to locate one using a skip trace or other search method. Any checks returned as undeliverable or that remain uncashed after 180 days will be transmitted to California Controller's Unclaimed Property Fund. These administrative procedures are appropriate and are approved.

XXVI. ORDER AND JUDGMENT

Plaintiff's motion for approval of the parties' PAGA settlement is GRANTED. The covered individuals are: all persons who are or were employed by Defendant as hourly paid, non-exempt employees in the State of California at any time during the PAGA Period.

Judgment shall be entered through the filing of this order and judgment. (Code Civ. Proc., § 668.5.) Plaintiff and PAGA Members shall take from the PAGA claim in their operative pleading only the relief set forth in the parties' settlement agreement and this order and judgment. The Court retains jurisdiction over the parties to enforce the terms of the PAGA settlement agreement and the final order and judgment.

The Court sets a compliance hearing for **March 18, 2027 at 2:30 P.M.** in Department 22. At least ten court days before the hearing, Plaintiff's counsel and the settlement administrator shall submit a summary accounting of the net settlement fund identifying distributions made as ordered herein; the number and value of any uncashed checks; amounts remitted the *cy pres* recipient; the status of any unresolved issues; and any other matters appropriate to bring to the Court's attention. Counsel may appear at the compliance hearing remotely.

The Court will prepare the order.

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Calendar Line 8

Case Name: *Fuentes v. La Cumbre Enterprises, Inc., et al.*

Case No.: 23CV427637

This action arises from Plaintiff Rosa Fuentes' employment for defendants La Cumbre Enterprises, Inc. ("La Cumbre"), Soany L. Guerra ("Guerra"), Avi Avanesian ("Avanesian") (collectively, "Defendants").

Before the Court is Plaintiff's motion to compel Avanesian to provide responses, which is opposed. For reasons discussed below, the Court GRANTS Plaintiff's motion and GRANTS her request for sanctions at a reduced amount.

XXVII. BACKGROUND

According to the allegations of the operative complaint ("Complaint"), Plaintiff was employed by Defendants from January 26, 2019 through June 2, 2023 at the nightclub named Club Caribe (the "Club"). (Complaint, ¶ 23.) She entered into an oral agreement where Defendants agreed to pay her an hourly wage plus gratuities left by Defendants' customers at tables serviced by her. (Complaint, ¶ 24.) Plaintiff's hourly wage was \$17.00 at the time of the separation of employment. (*Ibid.*) Defendants failed to compensate her for all time under Defendants' control, all wages due, provide timely rest periods, expense reimbursements, itemized wage statements, or all wages due upon of employment. (Complaint, ¶ 25.) Defendants often failed to pay Plaintiff earned wages in a timely fashion. (*Ibid.*) Defendants terminated Plaintiff's employment in retaliation for initiating a claim with the Labor Commissioner's office to recover unpaid wages, premiums, and related penalties. (*Ibid.*)

Based on the foregoing, Plaintiff initiated this action on December 12, 2023, with the filing of the Complaint, which asserts the following causes of action: (1) failure to pay all wages owed; (2) failure to provide meal and rest periods; (3) failure to pay wages on separation; (4) failure to maintain accurate time records; (5) failure to provide accurate itemized wage statements; (6) retaliation; (7) recovery under the Private Attorneys General Act ("PAGA"); and (8) unfair competition. On November 24, 2025, the Court (Hon. Adams) issued its order which denied Defendant's motion for summary judgment and in the alternative, its motion for summary adjudication.

XXVIII. UNTIMELY OPPOSITION

As an initial matter, Plaintiff's counsel requests that the Court reject the opposition in its entirety on the ground that it is untimely filed.

Code of Civil Procedure section 1005, subdivision (b), requires all opposing papers to be filed and served at least nine court days before the hearing. No paper may be rejected for filing on the ground that it was untimely submitted for filing. (Cal. Rules of Court, Rule 3.1300(d).) If the court, in its discretion, refuses to consider a late filed paper, the minutes or order must indicate. (*Ibid.*) "A trial court has broad discretion to under rule 3.1300(d) of the California Rules of Court to refuse to consider papers served and filed beyond the deadline without a prior court order finding good cause for late submission." (*Bozzi v. Nordstrom, Inc.* (2010) 186 Cal.App.4th 755, 765.)

Here, the hearing for the instant motion is on July 23, 2026. Thus, Avanesian was required to file his opposition by July 10, 2026 in order to be timely. However, the opposition was not filed until July 13, 2026, which is eight court days before the hearing. Despite the late filed opposition, Plaintiff timely filed and served her reply papers addressing the opposition. The Court does not condone Avanesian's actions, however, it does not appear that Plaintiff has suffered prejudice as a result of the untimely opposition and courts have a strong policy favoring the disposition of cases on the merits rather than on procedural grounds (see *Fox v. Ethicon Endo-Surgery, Inc.* (2005) 35 Cal.4th 797, 806), the Court will consider the substantive merits of the opposition. (See also *Kapitanski v. Von's Grocery Co.* (1983) 146 Cal.App.3d 29, 32 [cognizant of the strong policy favoring the disposition of cases on their merits...judges frequently consider documents which have been untimely filed.]) Defense counsel is admonished to comply with all applicable deadlines in the future as the failure to do so may lead to a different outcome.

The Court will now turn to the merits of the motion.

XXIX. LEGAL STANDARD

If a party to whom interrogatories are directed fails to serve a timely response, the propounding party may move for an order compelling responses and for a monetary sanction. (Code Civ. Proc. section 2030.290, subd. (b).) The statute contains no time limit for a motion to compel where no responses have been served. All that needs to be shown in the moving papers is that a set of interrogatories was properly served on the opposing party, that the time to respond has expired, and that no response of any kind has been served. (*Leach v. Superior Court* (1980) 111 Cal.App.3d 902, 905-906.) A party waives its objections to a discovery request when it does not serve a timely response to the request. (Code Civ. Proc. 2030.290(a).) Similarly, a party to whom a demand for inspection, copying, testing, or sampling is directed fails to serve a timely response to it fails to serve a timely response, the party making the demand may move for an order compelling response to the demand. (Code Civ. Proc., §2031.300, subd. (b).) Even if objections do not need to be verified, objections will be waived if the responding party "fails to file any response within the statutory time period." (*Food 4 Less Supermarkets, Inc. v. Superior Court* (1995) 40 Cal.App.4th 651, 658.) The burden is on the responding party to justify any objections or failure to fully answer. (*Coy v. Superior Court* (1962) 58 Cal.2d 210, 220-221 (*Coy*).)

XXX. DISCUSSION

Plaintiff moves for an order directing Avanesian to provide verified objection free responses to Special Interrogatories, Set One ("SROG, Set One"); Form Interrogatories-Employment Law-Set One ("FI, Set One"); and Requests for Production, Set One ("RFP, Set One"). (Plaintiff's Notice of Motion, p. 2:4-11.) Plaintiff also seeks monetary sanctions in the amount of \$7,485. (Notice, p. 2:12.)

On November 19, 2025, Plaintiff served SROG, Set One and RFP, Set One to Avanesian (the "November 19 Discovery"). (Plaintiff's Memorandum of Points and Authorities ("MPA"), p. 2:13-16.) On March 5, 2026, she served FI, Set One (the "March 5 Discovery"). (MPA, p. 2:22-25.) Responses to the November 19 Discovery was due on December 22, 2025, however the deadline was mutually extended to January 13, 2026. (MPA, p. 3:1-2.) The deadline for the March 5 Discovery was April 6, 2026. (MPA, p. 3:2-3.)

On April 6, 2026, Avanessian provided unverified responses to SROG, Set One but he has not provided verified responses. (MPA, p. 3:6-8.) Plaintiff attempted to meet and confer with Avanessian since January 2026. (MPA, p. 3:9-12.) On April 7, 2026, the Court held an informal discovery conference (“IDC”) where it set a further IDC and the hearing for the instant motion.

In opposition, Avanessian states that Defendants produced all relevant documents involving Plaintiff’s employment approximately two years ago and subsequent discovery requests were responded to. (Avanessian’s Opposition (“Opp.”), p. 2:9-11.) Avanessian contends that Plaintiff now seeks a separate set of discovery relating to wages paid to 84 employees who were employed during the same time Plaintiff was and that those documents have been produced. (Opp., p. 2:11-17.)

A. RFP, Set One

A party shall respond separately to each RFP with: (1) a statement of compliance; (2) a representation the party lacks the ability to comply; or (3) an objection to the particular RFP. (Code Civ. Proc, § 2031.210(a).) By failing to serve timely responses, the responding party waives any objection to the RFPs. (Code Civ. Proc, § 2031.300(a).)

Code of Civil Procedure section 2031.280, subdivision (a), provides that “[a]ny documents or categories of documents produced in response to a [production demand] shall be identified with the specific request number to which the documents respond.” A statement of compliance must “state that ... all documents or things in the demanded category that are in the possession, custody, or control of that party and to which no objection is being made will be included in the production.” (Code Civ. Proc, § 2031.220.) A proper statement of compliance must state that the production and inspection demanded will be allowed (in whole or in part); and that the documents or things in the demanded category that are in the responding party's possession, custody or control will be produced. (See Code Civ. Proc, § 2031.220.)

Here, Avanessian did not provide any responses to RFP, Set One. He contends the relevant documents have already been produced. Additionally, Defense counsel J. Philip Martin (“Martin”) attached a copy of the list of 84 employees produced on May 20, 2026. (See Martin Declaration (“Martin Decl.”), ¶ 2; Exh. 1.) However, the production of the list does not constitute responses to RFP, Set One. Thus, Plaintiff’s motion is GRANTED and Avanessian is ordered to provide code compliant responses without objection. (See Code Civ. Proc., § 2031.330, subd. (a).)

B. FI, Set One

With regard to FI, Set One, Avanessian states that Defendants will be serving responses to FI, Set One. (Opp., p. 2:17-18.) He did not provide a deadline for the response.

At this time, there is no evidence that any responses have been served. Thus, Plaintiff’s motion is GRANTED and Avanessian is ordered to serve code compliant responses without objection. (See Code Civ. Proc., § 2030.290, subd. (a).)

C. SROG, Set One

Avanessian's opposition fails to address SROG, Set One at all. By failing to verify his responses, Avanessian essentially did not respond to the discovery at all. (*Appleton v. Superior Court* (1988) 206 Cal.App.3d 632, 636 ["unverified responses are tantamount to no responses at all."].) Thus, Plaintiff's motion is GRANTED and Avanessian is ordered to provide verified code compliant responses without objection.

D. Sanctions

Plaintiff requests sanctions in the amount of \$7,485.

If a party to whom interrogatories are directed fails to serve a timely response, the propounding party may move for an order compelling responses and for a monetary sanction. (Code Civ. Proc section 2030.290, subd. (c); 2031.300, subd. (c) [RFPs]; .) "The court shall impose a monetary sanction... against any party, person, or attorney who unsuccessfully makes or opposes a motion to compel a response to interrogatories, unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust..." (Code Civ. Proc., § 2030.290, subd. (c).) "[T]he phrase 'substantial justification' has been understood to mean that a justification is clearly reasonable because it is well grounded in both law and fact." (*Doe v. United States Swimming, Inc.* (2011) 200 Cal.App.4th 1424, 1434 (*Doe*).)

Here, Martin fails to address Plaintiff's request for sanctions. Moreover, he fails to provide any information regarding the failure to provide discovery responses. Thus, based on the information before it, the Court cannot conclude that Avanessian acted with substantial justification in failing to respond to Plaintiff's discovery requests. Plaintiff's counsel Daniel Menendez ("Menendez") states that he spent at least 12 hours reviewing the file, meeting and conferring with defense counsel, attending IDCs and filing related documents, and preparing the instant motion. (Menendez Declaration, ¶ 19.) The Court finds this amount to be excessive because the motion itself is relatively straightforward. Thus, the Court reduces the amount to \$5,010 (10 hours x \$495/per hour + filing fee).

Accordingly, Plaintiff's request for sanctions is GRANTED at the reduced amount.

V. CONCLUSION

Plaintiff's motion to compel is GRANTED and her request for sanctions is GRANTED at the reduced amount. Avanessian is ordered to provide code-compliant responses without objections with 10 days of this order.

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Calendar Line 9

Case Name: *Mirza-Aliev v. 800 Moffett MV Manager, LLC*

Case No.: 24CV431503

This is a putative class and Private Attorneys General Act (“PAGA”) action. Plaintiff Feruz Mirza-Aliev alleges defendant 800 Moffett MV Manager LLC committed various wage and hour violations.

Before the Court is Plaintiff’s motion for final approval, which is unopposed. As discussed below, the Court GRANTS the motion.

XXXI. BACKGROUND

According to the allegations of the operative first amended complaint (“FAC”), Plaintiff began working for Defendant in May 2023. (FAC, ¶ 3.) Plaintiff alleges that Defendant failed to: pay for all hours worked; meal periods or compensation in lieu thereof; rest periods or compensation in lieu thereof; provide complete and accurate wage statements; timely pay wages; pay sick wages; and reimburse for necessary business expenses. (FAC, ¶¶ 8-27.)

Based on the foregoing, Plaintiff initiated this action with the filing of the Complaint on February 23, 2024, and on June 27, 2025, he filed the operative FAC, which asserts the following causes of action: (1) unfair competition in violation of Business & Professions Code § 17200, *et seq.*; (2) failure to pay minimum wages in violation of Labor Code §§ 1194, 1197, & 1197.1; (3) failure to pay overtime wages in violation of Labor Code § 510; (4) failure to provide required meal periods in violation of Labor Code §§ 226.7 & 512 and the applicable IWC Wage Order; (5) failure to provide the required rest periods in violation of Labor Code §§ 226.7 & 512 and the applicable IWC Wage Order; (6) failure to provide accurate itemized wage statements in violation of Labor Code § 226; (7) failure to reimburse employees for required expenses in violation of Labor Code § 2802; (8) failure to pay sick pay wages in violation of Labor Code §§ 201-203, 233, 246; and (9) violation of the Private Attorneys General Act. On January 16, 2026, the Court granted Plaintiff’s motion for preliminary approval of class action and PAGA settlement (the “Settlement”).

Plaintiff now seeks final approval of the Settlement, including attorneys’ fees, costs, and the service award.

XXXII. LEGAL STANDARDS FOR SETTLEMENT APPROVAL

F. Class Action

Generally, “questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234–235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba*, *supra*, 91 Cal.App.4th at pp. 244–245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of relevant factors, depending on the circumstances of each case. (*Wershba*, *supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the “proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned.” (*Ibid.*, citation and internal quotation marks omitted.) The trial court also must independently confirm that “the consideration being received for the release of the class members' claims is reasonable in light of the strengths and weaknesses of the claims and the risks of the particular litigation.” (*Kullar*, *supra*, 168 Cal.App.4th at p. 129.) Of course, before performing its analysis the trial court must be “provided with basic information about the nature and magnitude of the claims in question and the basis for concluding that the consideration being paid for the release of those claims represents a reasonable compromise.” (*Id.* at pp. 130, 133.)

B. PAGA

Labor Code section 2699, subdivision (l)(2) provides that “[t]he superior court shall review and approve any settlement of any civil action filed pursuant to” PAGA. The court's review “ensur[es] that any negotiated resolution is fair to those affected.” (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639, 2022 U.S. LEXIS 2940.)

Similar to its review of class action settlements, the Court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76–77.) It must make this assessment “in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.” (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 [“when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public ...”], quoting LWDA guidance discussed in *O'Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O'Connor*).)

The settlement must be reasonable in light of the potential verdict value. (See *O'Connor, supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-CV-02198-EMC) 2016 WL 5907869, at *8–9.)

C. Terms and Administration of Settlement

The non-reversionary gross settlement amount is \$515,000. Attorneys' fees of up to one-third of the gross settlement amount, which is approximately \$171,666.66, litigation costs of up to \$25,000, and administrative costs of up to \$8,750. \$15,000 will be allocated to PAGA penalties, 75% (\$11,250) of which will be allocated to the LWDA, with the remaining 25% (\$3,750) will be dispensed, on a pro rata basis, to "Aggrieved Employees," who are defined as "all non-exempt employees who worked for Defendant in the State of California during the PAGA Period."⁴ Plaintiff will seek a class representative service award of \$10,000.

The net settlement amount-estimated to be \$284,583.34-will be allocated to members of the Class, which is defined as "all individuals who are or previously were employed by and worked for Defendant, who were classified as non-exempt in the State of California at any times during the Class Period. [February 23, 2020 through April 8, 2025]." The average individual payment will be approximately \$735.35. For tax purposes, 20% of each Class Member's individual payment will be allocated to wages and 80% will be allocated to interest and penalties. Funds associated with checks uncashed after 180 days will be transmitted to the Bay Area Legal Aid.

In exchange for settlement, Class Members who do not opt out will release:

[A]ll claims that were alleged, or reasonably could have been alleged, based on the facts stated in the Operative Complaint which occurred during the Class Period during the employment in a non-exempt position in California. The Code sections alleged in the Operative Complaint that are included in the Release Class Claims are: Cal Lab. Code §§ 201-203, 226, 226.7, 233, 246, 510, 512, 1194, 1197, 1197.1, 2802, and Cal. Bus & Prof. Code § 17299.⁵

Aggrieved Employees, who consistent with the statute will not be able to opt out of the PAGA portion of the settlement, will release:

[A]ll claims for PAGA penalties that were alleged, or reasonably could have been alleged, based on the facts stated in the Operative Complaint and the PAGA Notice, which occurred during the PAGA Period during employment in a non-exempt position in California. The Code sections alleged in the Operative Complaint that are included...are Cal. Lab. Code §§ 201, 202, 203, 204, *et seq.*, 210, 218, 221, 226(a), 226.7, 2227.3, 246, 510, 512, 558(a)(1)(2), 1194, 1197, 1197.1, 1198, 2802, California Code of Regulations, Title 8, Section 1140,

⁴ The PAGA Period is defined as "the time from December 25, 2022 through Preliminary Approval."

⁵ Participating Class Members do not release any other claims, including claims for vested benefits, wrongful termination, violation of the Fair Employment and Housing Act, unemployment insurance, disability, social security, workers' compensations, or California class claims outside the Class Period.

Subdivision 5(A)-(B), California Code of Regulations, Title 8, Section 11070(14), and the applicable IWC Wage Orders.

The notice period has now been completed. Garvin Brown (“Brown”), a case manager for settlement administration ILYM Group, Inc. (“ILYM”), submitted a declaration in support of the instant motion. On January 30, 2026, ILYM received the class data from defense counsel. On March 23, 2026, the Class notice was mailed in English and Spanish. As of the date of Brown’s declaration, 48 Class notices were returned, without forwarding addresses. ILYM conducted a skip trace search and obtained 35 updated addresses and promptly re-mailed the Class notices. 13 Class notices have been deemed undeliverable.

The deadline to respond was May 22, 2026. As of the date of Brown’s declaration, ILYM has received 0 requests for exclusion, 0 disputes, and 0 objections. Consequently, there are 387 participating Class Members, which is approximately 100% of the settlement Class. The average individual settlement payment will be approximately \$735.87, with the highest being \$2,853.34. The average PAGA payment will be approximately \$11.79, with the highest being \$32.32.

Plaintiff requests \$8,750 for administration costs. This request is supported by Brown’s declaration. Thus, the amount is reasonable and therefore, it is approved.

At the preliminary approval, the Court found that the proposed settlement provides a fair and reasonable compromise to Plaintiff’s claims. It finds no reason to depart from these findings now, especially considering that there are no objections. Therefore, the Court finds that the Settlement is fair and reasonable for the purposes of final approval.

D. Attorneys’ Fees, Litigation Costs, and Plaintiff’s Service Award

Class Counsel seeks a fee award of \$171,666.66 or one-third of the gross settlement amount, which is not an uncommon contingency fee in a wage and hour class action. Class Counsel provides a lodestar figure of \$119,982.50, based on 165.95 hours of work at billings rates ranging from \$450 to \$950 per hour, resulting in a multiplier of 1.43. This is within the range of multipliers that courts typically approve. (See *Wershba*, *supra*, 91 Cal.App.4th at p. 255 [“[m]ultipliers can range from 2 to 4 or even higher”]; *Vizcaino v. Microsoft Corp.* (9th Cir. 2002) 290 F.3d 1043, 1051, fn. 6 [stating that multipliers ranging from one to four are typical in common fund cases and citing the court’s own survey of large settlements funding a range of 0.6-19.6, with most (20 to 24, or 83%) from 1.0-4.0 and a bare majority (13 of 24, or 54%) in the 1.5-3.0 range”].)

“While the percentage method has been generally approved in common fund cases, courts have sought to ensure the percentage fee is reasonable by refining the choice of a percentage or by checking the percentage result against the lodestar-multiplier calculation.” (*Laffitte v. Robert Half Intern, Inc.* (2016) 1 Cal.5th 480, 495 (*Laffitte*).) Applying the latter approach,

[T]he percentage-based fee will typically be larger than the lodestar based fee. Assuming that one expects rough parity between the results of the percentage method and the lodestar method, the difference between the two computed fees will be attributable solely to a multiplier that has yet to be applied. Stated another way, the ratio of the percentage-based fee to the lodestar-based fee implies a

multiplier, and that implied multiplier can be evaluated for reasonableness. If the implied multiplier is reasonable, then the cross-check confirms the reasonableness of the percentage-based fee; if the implied multiplier is unreasonable, the court should revisit its assumptions.

(*Laffitte, supra*, 1 Cal.5th at p. 496, quoting Walker & Horwich, *The Ethical Imperative of a Lodestar Cross-check: Judicial Misgivings About “Reasonable Percentage” Fees in Common Fund Cases* (2005) 18 Geo. J. Legal Ethics 1453, 1463.) As described by the California Supreme Court, “[i]f the multiplier calculated by means of a lodestar crosscheck is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment.” (*Laffitte, supra*, 1 Cal.5th at 505.)

Here, while the multiplier sought by Class Counsel is within the range of what California courts typically award and it is supported by the percentage cross-check and Class Counsel’s declaration. Thus, the Court finds Class Counsel’s requested fee award is reasonable.

Class Counsel also seeks \$18,977.41 in litigation costs, which is below the \$25,000 allowed for in the Settlement. The request is supported by Class Counsel’s declaration. This amount is reasonable and thus, it is approved.

Plaintiff requests a Class Representative Enhancement payment of \$10,000.

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation. These “incentive awards” to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted.) Incentive awards are particularly appropriate where a plaintiff undertakes a significant reputational risk in bringing an action against an employer. (*Covillo v. Specialty’s Café* (N.D. Cal. 2014) 2014 U.S.Dist.LEXIS 29837, at *29.)

At preliminary approval, the Court found that Plaintiff is entitled to an award and preliminarily approved the request. The Court does not find any reason to depart from this ruling at this time. Thus, Plaintiff’s request is approved.

XXXIII. CONCLUSION

In accordance with the above, IT IS HEREBY ORDERED, ADJUDGED, AND DECREED THAT:

Plaintiff's motion for final approval is GRANTED.

Judgment will be entered through the filing of this order and judgment. (Code Civ. Proc., § 668.5.) Plaintiff and the members of the Class will take from the operative complaint only the relief set forth in the settlement agreement and this order and judgment. Pursuant to Rule 3.769(h) of the California Rules of Court, the Court will retain jurisdiction over the parties to enforce the terms of the settlement agreement and the final order and judgment.

The Court sets a compliance hearing for **March 25, 2027 at 2:30 P.M.** in Department 22. At least ten court days before the hearing, class counsel and the settlement administrator shall submit a summary accounting of the net settlement fund identifying distributions made as ordered herein; the number and value of any uncashed checks; amounts remitted pursuant to Code of Civil Procedure section 384, subdivision (b); the status of any unresolved issues; and any other matters appropriate to bring to the Court's attention. Counsel shall also submit an amended judgment as described in Code of Civil Procedure section 384, subdivision (b). Counsel may appear at the compliance hearing remotely.

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Calendar Line 10

Case Name: *Lethu Vo v. Excite Credit Union, et al.*

Case No.: 24CV436504

This is a putative class and Private Attorneys General Act (“PAGA”) action. Plaintiff Lethu Vo alleges that defendant Excite Credit Union committed various wage and hour violations.

Before the Court is Plaintiff’s motion for preliminary approval of settlement, which is unopposed. As discussed below, the Court GRANTS the motion.

XXXIV. BACKGROUND

According to the allegations of the operative first amended complaint (“FAC”), Plaintiff was employed by Defendant from August 8, 2016, to February 2024 and during that time, she worked as a Financial Services Representative II and a Call Center Representative II at the Blossom Valley branch in San Jose. (FAC, ¶ 4.)

Defendant failed to pay wages including minimum and overtime wages; provide compliant meal periods or compensation in lieu thereof; provide compliant rest periods or compensation in lieu thereof; timely pay wages; furnish accurate wage statements; pay wages upon termination; and reimburse necessary business expenses.

Based on the foregoing, Plaintiff initiated this action on April 25, 2024, with the filing of the Complaint and on July 20, 2026, Plaintiff’s operative was deemed filed and it asserts the following claims: (1) violation of Labor Code §§ 510 and 1198 (unpaid overtime); (2) violation of Labor Code §§ 1182.12, 1194, 1197, 117.1, and 1198 (unpaid minimum wages); (3) violation of Labor Code §§ 226.7, 512, subd. (a), 516, and 1198 (failure to pay meal period premiums at the regular rate of pay); (4) violation of Labor Code §§ 226.7, 516, and 1198 (failure to authorize and permit rest periods); (5) violation of Labor Code §§ 226, subd. (a), 1174, subd. (d), and 1198 (non-compliant wage statements and failure to maintain accurate payroll records); (6) violation of Labor Code §§ 201-202 (wages not timely paid upon termination); (7) violation of Labor Code § 204 (failure to timely pay wages during employment); (8) civil penalties under PAGA; (9) violation of Business & Professions Code §§ 17200, *et seq.* (unlawful business practices); and (10) violation of Business & Professions Code §§ 17200, *et seq.* (unfair business practices)

Plaintiff now seeks an order: preliminarily approving the settlement set forth in the Joint Stipulation of Class Action and PAGA Settlement and Release (the “Settlement”); conditionally certifying the proposed Settlement Class; appointing Plaintiff as the Class Representative; appointing Capstone Law APC as Class Counsel; approving distribution of the proposed Class notice; appointing CPT Group, Inc. (“CPT”) as the Settlement Administrator; and setting a date for the final approval hearing.

XXXV. LEGAL STANDARDS FOR SETTLEMENT APPROVAL

G. Class Action

Generally, “questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234–235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244–245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs’ case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of relevant factors, depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the “proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned.” (*Ibid.*, citation and internal quotation marks omitted.) The trial court also must independently confirm that “the consideration being received for the release of the class members’ claims is reasonable in light of the strengths and weaknesses of the claims and the risks of the particular litigation.” (*Kullar, supra*, 168 Cal.App.4th at p. 129.) Of course, before performing its analysis the trial court must be “provided with basic information about the nature and magnitude of the claims in question and the basis for concluding that the consideration being paid for the release of those claims represents a reasonable compromise.” (*Id.* at pp. 130, 133.)

B. PAGA

Labor Code section 2699, subdivision (1)(2) provides that “[t]he superior court shall review and approve any settlement of any civil action filed pursuant to” PAGA. The court’s review “ensur[es] that any negotiated resolution is fair to those affected.” (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639, 2022 U.S. LEXIS 2940.)

Similar to its review of class action settlements, the Court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76–77.) It must make this assessment “in view of PAGA’s purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of

state labor laws.” (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 [“when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public”], quoting LWDA guidance discussed in *O’Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O’Connor*).)

The settlement must be reasonable in light of the potential verdict value. (See *O’Connor, supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-CV-02198-EMC) 2016 WL 5907869, at *8–9.)

XXXVI. SETTLEMENT PROCESS

Plaintiff initiated this action on April 25, 2024, with the filing of the Complaint. On July 20, 2026, Plaintiff’s FAC was deemed filed as per the parties’ stipulation. The parties exchanged informal discovery including the production of Defendant’s labor policies and procedure materials, Class Members’ time and wage record.

On September 30, 2025, the parties attended a mediation with Tagore Subramaniam, Esq. and with his help, the parties were able to negotiate a complete settlement.

XXXVII. SETTLEMENT PROVISIONS

The non-reversionary gross settlement amount is \$430,000. Attorneys’ fees of up to one-third of the gross settlement amount (\$143,333.33), litigation costs of up to \$20,000, and settlement administrator costs of \$7,000. \$20,000 will be allocated to PAGA penalties, 75% of which (\$15,000) will be paid to the LWDA and the remaining 25% (\$5,000) will be dispensed to “PAGA Members” who are defined as “all persons who worked for Defendant as non-exempt, hourly paid employees in California at any time during the PAGA Period [May 29, 2023 through November 29, 2025].” Plaintiff will seek a Class representative award of \$10,000.

The net settlement amount—currently estimated to be \$229,667—will be allocated to Class Members who are defined as “all persons who worked for Defendant as non-exempt, hourly paid employees in California at any time during the Class Period [April 25, 2020 through November 29, 2025].” For tax purposes, 20% of each Class Member’s settlement payment will be allocated to wages and 80% will be allocated to interests and penalties. Defendant will pay the employer side payroll taxes separate and apart from the Settlement. Funds associated with checks uncashed after 180 days will be transmitted to the Justice Gap Fund.

In exchange for settlement, Class Members who do not opt out will release:

[A]ll claims, rights, demands, liabilities, and causes of action that are alleged in the operative Complaint, or which could have been alleged by reason of, or in connection with, any matter or fact set forth or referred to in the operative Complaint, including claims for violation of: (1) Cal. Lab. Code §§ 510 and 1198 (unpaid overtime); (2) Cal. Lab. Code §§ 1182.12, 1194, 1197, 1197.1, and 1198

(unpaid minimum wages); (3) Cal. Lab. Code §§ 226.7, 512(a), 516, and 1198 (failure to pay meal period premiums at the regular rate of pay); (4) Cal. Lab. Code §§ 226.7, 516, and 1198 (failure to authorize and permit rest periods); (5) Cal. Lab. Code §§ 226(a), 1174(d), and 1198 (non-compliant wage statements and failure to maintain accurate payroll records); (6) Cal. Lab. Code §§ 201 and 202 (wages not timely paid upon termination); (7) Cal. Lab. Code § 204 (failure to timely pay wages during employment); (8) Cal. Bus. & Profs. Code §§ 17200, et seq. (unlawful business practices); and (9) Cal. Bus. & Profs. Code §§ 17200, et seq. (unfair business practices).

PAGA Members, who consistent with the statute will not be able to opt out of the PAGA portion of the settlement, will release:

[A]ll claims for civil penalties under California Labor Code §§ 2698, et seq., that were alleged or could reasonably have been alleged based on the same facts alleged in Plaintiff's LWDA letter during the PAGA Period.

The foregoing releases are appropriately tailored to the allegations at issue. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 537.)

XXXVIII. FAIRNESS OF SETTLEMENT

Based on available data provided by Defendant, Class Counsel calculated Defendant's exposure as follows: \$181,099.30 (off-the-clock claim); \$724,397.20 (meal period claim); \$271,6498.95 (overtime claim); \$1,086,595.80 (rest period claim); \$260,000 (wage statement claim); \$589,440 (final pay claim)—totaling \$3,113,181.25.

Class Counsel then considered the strength of the defenses to the merits of Plaintiff's claims; the risk of class certification being denied; the risk of losing on any of a number of dispositive motions that could have been bought between certification and trial that might eliminate some or all of Plaintiff's claims, or barred evidence/testimony in support of the claims; the risk of losing at trial; the chances of a favorable verdict being reversed on appeal; and the difficulties attendant to collecting on a judgment. Thus, Class Counsel concluded that it would be reasonable to settle for a fraction of Defendant's maximum exposure.

The gross settlement amount is approximately 13.8% of the maximum exposure, which is within the range of recoveries typically approved by California courts. (See *Cavazos v. Salas Concrete, Inc.* (E.D. Cal., Feb 18, 2022, No. 1:19-cv-00062-DAD-EPG) 2022 U.S. Dist. LEXIS 30201, at *41-42 [citing cases approving settlements in the range of 5 to 35 percent of the maximum potential exposure].)

Considering the portion of the case's value attributable to uncertain penalties, claims that could be difficult to certify for class treatment, and the multiple, dependent contingencies that Plaintiff would have had to overcome to prevail on the claims, the settlement achieves a good result for the class. For purposes of preliminary approval, the Court finds that the settlement is fair and reasonable to the class, and the PAGA allocation is genuine, meaningful, and reasonable in light of the statute's purposes.

XXXIX. PROPOSED SETTLEMENT CLASS

Plaintiff requests that the following settlement class be provisionally certified:

All persons who worked for Defendant as non-exempt, hourly paid employees in California at any time during the Class Period.

E. Legal Standard for Certifying a Class for Settlement Purposes

Rule 3.769(d) of the California Rules of Court states that “[t]he court may make an order approving or denying certification of a provisional settlement class after [a] preliminary settlement hearing.” California Code of Civil Procedure Section 382 authorizes certification of a class “when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court”

Section 382 requires the plaintiff to demonstrate by a preponderance of the evidence: (1) an ascertainable class and (2) a well-defined community of interest among the class members. (*Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326, 332 (*Sav-On Drug Stores*).) “Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing.” (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.) The plaintiff has the burden of establishing that class treatment will yield “substantial benefits” to both “the litigants and to the court.” (*Blue Chip Stamps v. Superior Court* (1976) 18 Cal.3d 381, 385.)

In the settlement context, “the court’s evaluation of the certification issues is somewhat different from its consideration of certification issues when the class action has not yet settled.” (*Luckey v. Superior Court* (2014) 228 Cal.App.4th 81, 93.) As no trial is anticipated in the settlement-only context, the case management issues inherent in the ascertainable class determination need not be confronted, and the court’s review is more lenient in this respect. (*Id.* at pp. 93–94.) But considerations designed to protect absentees by blocking unwarranted or overbroad class definitions require heightened scrutiny in the settlement-only class context, since the court will lack the usual opportunity to adjust the class as proceedings unfold. (*Id.* at p. 94.)

F. Ascertainable Class

A class is ascertainable “when it is defined in terms of objective characteristics and common transactional facts that make the ultimate identification of class members possible when that identification becomes necessary.” (*Noel v. Thrifty Payless, Inc.* (2019) 7 Cal.5th 955, 980 (*Noel*).) A class definition satisfying these requirements

puts members of the class on notice that their rights may be adjudicated in the proceeding, so they must decide whether to intervene, opt out, or do nothing and live with the consequences. This kind of class definition also advances due process by supplying a concrete basis for determining who will and will not be bound by (or benefit from) any judgment.

(*Noel, supra*, 7 Cal.5th at p. 980, citation omitted.)

“As a rule, a representative plaintiff in a class action need not introduce evidence establishing how notice of the action will be communicated to individual class members in order to show an ascertainable class.” (*Noel, supra*, 7 Cal.5th at p. 984.) Still, it has long been held that “[c]lass members are ‘ascertainable’ where they may be readily identified ... by reference to official records.” (*Rose v. City of Hayward* (1981) 126 Cal. App. 3d 926, 932, disapproved of on another ground by *Noel, supra*, 7 Cal.5th 955; see also *Cohen v. DIRECTV, Inc.* (2009) 178 Cal.App.4th 966, 975-976 [“The defined class of all HD Package subscribers is precise, with objective characteristics and transactional parameters, and can be determined by DIRECTV’s own account records. No more is needed.”].)

Here, the estimated 130 Class Members are readily identifiable based on Defendant’s records, and the settlement Class is appropriately defined based on objective characteristics. The Court finds that the settlement Class is numerous, ascertainable, and appropriately defined.

G. Community of Interest

The “community-of-interest” requirement encompasses three factors: (1) predominant questions of law or fact, (2) class representatives with claims or defenses typical of the class, and (3) class representatives who can adequately represent the class. (*Sav-On Drug Stores, supra*, 34 Cal.4th at pp. 326, 332.)

For the first community of interest factor, “[i]n order to determine whether common questions of fact predominate the trial court must examine the issues framed by the pleadings and the law applicable to the causes of action alleged.” (*Hicks v. Kaufman & Broad Home Corp.* (2001) 89 Cal.App.4th 908, 916 (*Hicks*).) The court must also examine evidence of any conflict of interest among the proposed class members. (See *J.P. Morgan & Co., Inc. v. Superior Court* (2003) 113 Cal.App.4th 195, 215.) The ultimate question is whether the issues which may be jointly tried, when compared with those requiring separate adjudication, are so numerous or substantial that the maintenance of a class action would be good for the judicial process and to the litigants. (*Lockheed Martin Corp. v. Superior Court* (2003) 29 Cal.4th 1096, 1104–1105 (*Lockheed Martin*).) “As a general rule if the defendant’s liability can be determined by facts common to all members of the class, a class will be certified even if the members must individually prove their damages.” (*Hicks, supra*, 89 Cal.App.4th at p. 916.)

Here, common legal and factual issues predominate. Plaintiff’s claims all arise from Defendant’s wage and hour practices and policies.

As for the second factor,

The typicality requirement is meant to ensure that the class representative is able to adequately represent the class and focus on common issues. It is only when a defense unique to the class representative will be a major focus of the litigation, or when the class representative’s interests are antagonistic to or in conflict with the objectives of those she purports to represent that denial of class certification is appropriate. But even then, the court should determine if it would be feasible to divide the class into subclasses to eliminate the conflict and allow the class action to be maintained.

(*Medrazo v. Honda of North Hollywood* (2008) 166 Cal. App. 4th 89, 99, internal citations, brackets, and quotation marks omitted.)

Like the other members of the proposed class, Plaintiff was employed by Defendant as a non-exempt employee and alleges that she experienced the violations at issue. The anticipated defenses are not unique to Plaintiff, and there is no indication that Plaintiff's interests are otherwise in conflict with those of the proposed class.

Finally, adequacy of representation "depends on whether the plaintiff's attorney is qualified to conduct the proposed litigation and the plaintiff's interests are not antagonistic to the interests of the class." (*McGhee v. Bank of America* (1976) 60 Cal.App.3d 442, 450.) The class representative does not necessarily have to incur all of the damages suffered by each different class member in order to provide adequate representation to the class. (*Wershba, supra*, 91 Cal.App.4th at p. 238.) "Differences in individual class members' proof of damages [are] not fatal to class certification. Only a conflict that goes to the very subject matter of the litigation will defeat a party's claim of representative status." (*Ibid.*, internal citations and quotation marks omitted.)

Plaintiff has the same interest in maintaining this action as any Class member would have. Further, she has hired experienced counsel. Plaintiff has sufficiently demonstrated adequacy of representation.

H. Substantial Benefits of Class Certification

"[A] class action should not be certified unless substantial benefits accrue both to litigants and the courts. . . ." (*Basurco v. 21st Century Ins.* (2003) 108 Cal.App.4th 110, 120, internal quotation marks omitted.) The question is whether a class action would be superior to individual lawsuits. (*Ibid.*) "Thus, even if questions of law or fact predominate, the lack of superiority provides an alternative ground to deny class certification." (*Ibid.*) Generally, "a class action is proper where it provides small claimants with a method of obtaining redress and when numerous parties suffer injury of insufficient size to warrant individual action." (*Id.* at pp. 120–121, internal quotation marks omitted.)

Here, there are an estimated 130 Class Members. It would be inefficient for the Court to hear and decide the same issues separately and repeatedly for each class member. Further, it would be cost prohibitive for each Class member to file suit individually, as each member would have the potential for little to no monetary recovery. It is clear that a class action provides substantial benefits to both the litigants and the Court in this case.

XL. NOTICE

The content of a class notice is subject to court approval. (Cal. Rules of Court, rule 3.769(f).) "The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement." (*Ibid.*) In determining the manner of the notice, the court must consider: "(1) The interests of the class; (2) The type of relief requested; (3) The stake of the individual class members; (4) The cost of notifying class members; (5) The resources of the parties; (6) The possible prejudice to class members

who do not receive notice; and (7) The res judicata effect on class members.” (Cal. Rules of Court, rule 3.766(e).)

Here, the notice, which will be provided in English, informs the Class Members of the nature of the lawsuit and their rights under the terms of the Settlement and applicable law. It includes: a detailed explanation of the case, including the basic contentions or denials of the Parties and the basic terms of the Settlement; a statement that the court will exclude the member from the class if they request so by a specified date; a procedure for the member to follow in requesting exclusions from the class; an explanation that members of the Class can participate in the Settlement by doing nothing; a statement that the judgment, whether favorable or not, will bind all members who do not request exclusion; and a statement that any member who does not request exclusion may, if the member so desires, enter an appearance through counsel. Class Members are given 45 days to exclude themselves or object. The form of notice is adequate.

Regarding appearances at the final fairness hearing, the notice shall be modified to instruct class members as follows:

Although class members may appear in person, the judge overseeing this case encourages remote appearances. Class members who wish to appear remotely should contact class counsel at least three days before the hearing if possible. Remote appearances must be made through UDC, unless otherwise arranged with the Court. Please go to <https://santaclara.courts.ca.gov/online-services/remote-hearings> to find the appropriate link. Also, please note that that you must register in advance to appear remotely..

Turning to the notice procedure, as articulated above, the parties have selected CPT as the Settlement administrator. No later than 20 days after preliminary approval, Defendant will deliver the Class data (i.e., Class list and related qualifying workweeks and contact information) to CPT. CPT, in turn, will mail the notice packets within 10 days of receiving the Class data. Any returned notices will be re-mailed within 5 business days to any forwarding address provided. If no forwarding address is found, CPT shall conduct an investigation for one and if one is found, CPT shall re-mail the notice. Class members who receive a re-mailed notice will have an additional 15 calendar days or until the response deadline, whichever is later, to respond. These notice procedures are appropriate and are approved.

XLI. SERVICE AWARD, FEES, AND COSTS

Plaintiff requests an enhancement payment of \$10,000.

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation.

These “incentive awards” to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit. (*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted; see also *Covillo v. Specialty’s Café* (N.D. Cal. 2014) 2014 U.S.Dist.LEXIS 29837, at *29 [incentive awards are particularly appropriate where a plaintiff undertakes a significant “reputational risk” in bringing an action against an employer].)

Plaintiff submitted a declaration in support of her request. She states she spent approximately 25 to 35 hours on this action, which includes communicating with Class Counsel, reviewing documents, helping with preparation for mediation, and reviewing the Settlement. (Plaintiff’s Decl., ¶¶ 4-6, 10-11.) She further states that the responsibilities of participating in this action as the named plaintiff. (Plaintiff’s Decl., ¶ 13.) The Court finds Plaintiff is entitled to a service award and the amount requested is reasonable. Thus, Plaintiff’s request is preliminarily approved.

The court also has an independent right and responsibility to review the requested attorney fees and only award so much as it determines reasonable. (See *Garabedian v. Los Angeles Cellular Telephone Co.* (2004) 118 Cal.App.4th 123, 127-128.) Class counsel will seek attorneys’ fees of up to one-third of the gross settlement amount (currently estimated to be \$143,333.33), and litigation costs for up to \$20,000. Prior to any final approval hearing, Class counsel shall submit lodestar information (including hourly rate and hours worked) as well as evidence of actual litigation costs incurred.

XLII. CONCLUSION

Plaintiff’s motion for preliminary approval is GRANTED.

The final approval hearing shall take place on **January 28, 2027** at 1:30 in Department 22. The following Class is preliminarily certified for settlement purposes:

All persons who worked for Defendant as non-exempt, hourly paid employees in California at any time during the Class Period.

The Court will prepare the order.

- 00000 -

- 00000 -

Calendar Line 11

Case Name: *Jeremiah Johnson v. Apple, Inc., et al.*

Case No.: 24CV450382

This is a class action that arises from Defendant Apple, Inc.’s (“Defendant” or “Apple”) alleged breach of contract with regard to its “Patent Recognition Program.”

Before the Court is Apple’s demurrer to Plaintiff Jeremiah Johnson’s third amended complaint (“TAC”). As discussed below, the Court SUSTAINS Apple’s demurrer with 20 days’ leave to amend.

XLIII. BACKGROUND

According to the allegations of the operative TAC, Plaintiff is employed in Apple’s Software Engineering and Tools Framework division, which focuses on accessibility across Apple’s operating systems. (TAC, ¶ 42.) During this time, Plaintiff learned about the patent recognition program (the “Agreement”) whereby an Apple employee with an innovative original idea that might improve the functions and processes unique to Apple technology could submit the idea through the internal portal. (TAC, ¶ 43.) If the idea was accepted by Apple, the employee was entitled to incentive compensation in the amount of \$4,000 for each submitted idea that was patented or \$2,000 if multiple contributors were collaboratively involved in a submission. (*Ibid.*) Plaintiff alleges that despite Apple’s representations regarding compensation, he and Class/Subclass Members were not accordingly compensated. (TAC, ¶¶ 44-46.)

Based on the foregoing, Plaintiff initiated this action on October 25, 2024, and on January 8, 2025, he filed his first amended complaint. On August 14, 2025, Plaintiff filed his SAC, which asserted causes of action for: (1) breach of contract; (2) breach of covenant of good faith and fair dealing; (3) intentional misrepresentation, fraud, and deceit; (4) concealment; (5) conversion; (6) promissory fraud; (7) for restitution based on breach of implied-in-fact contract-unjust enrichment; (8) violation of Business & Professions Code § 17200, *et seq.*; (9) declaratory relief; (10) for accounting; (11) failure to timely compensation employees during employment per Labor Code §§ 204, subd. (a) and 1194, subd. (a); (12) failure to timely pay wages upon termination of employment in violation of Labor Code §§ 201-203; (13) failure to furnish accurate wage statements in violation of Labor Code § 226, subd. (a); and (14) violation of the Private Attorney Generals Act of 2004 (Lab. Code §§ 2698, *et seq.*).

Apple demurred to the SAC, however, Plaintiff failed to file an opposition. On February 6, 2026, the Court issued its order (the “Order”) which sustained the demurrer with 20 days’ leave to amend. The Court issued its tentative ruling on February 4, 2026 and on the same day, prior to the entry of the Order, Plaintiff filed the operative TAC, which asserts the following causes of action: (1) breach of contract; (2) breach of covenant of good faith and fair dealing; (3) intentional misrepresentation, fraud, and deceit; (4) concealment; (5) conversion; (6) promissory fraud; (7) for restitution based on breach of implied-in-fact contract-unjust enrichment; (8) for accounting; (9) failure to timely compensation employees during employment per Labor Code §§ 204, subd. (a) and 1194, subd. (a); (10) failure to timely pay wages upon termination of employment in violation of Labor Code §§ 201-203; (11) failure to

furnish accurate wage statements in violation of Labor Code § 226, subd. (a); (12) violation of Business and Professions Code § 17200, *et seq.*; and (13) violation of the Private Attorney Generals Act of 2004 (Lab. Code §§ 2698, *et seq.*).

XLIV. DEMURRER

Apple demurs to the entire TAC and separately to the third, fourth, fifth, sixth, seventh, eighth, ninth, tenth, eleventh, and thirteenth cause of action therein on the grounds that it fails to state a cause of action upon which relief can be granted. (Code Civ. Proc., § 430.10, subd. (e).)

A. Legal Standard

The function of a demurrer is to test the legal sufficiency of a pleading. (*Trs. Of Capital Wholesale Elec. Etc. Fund v. Shearson Lehman Bros.* (1990) 221 Cal.App.3d 617, 621.) Consequently, “[a] demurrer reaches only to the contents of the pleading and such matters as may be considered under the doctrine of judicial notice.” (*South Shore Land Co. v. Petersen* (1964) 226 Cal.App.2d 725, 732, internal citations and quotations omitted; see also Code Civ. Proc., § 430.30, subd. (a).) “It is not the ordinary function of a demurrer to test the truth of the plaintiff’s allegations or the accuracy with which he describes the defendant’s conduct. ... Thus, ... the facts alleged in the pleading are deemed to be true, however improbable they may be.” (*Align Technology, Inc. v. Tran* (2009) 179 Cal.App.4th 949, 958, internal citations and quotations omitted.)

In ruling on a demurrer, the allegations of the complaint must be liberally construed, with a view to substantial justice between the parties. (*Glennen v. Allergan, Inc.* (2016) 247 Cal.App.4th 1, 6.) Nevertheless, while “[a] demurrer admits all facts properly pleaded, [it does] not [admit] contentions, deductions or conclusions of law or fact.” (*George v. Automobile Club of Southern California* (2011) 201 Cal.App.4th 1112, 1120.)

B. Discussion

Apple argues that, by failing to oppose the previous demurrer, Plaintiff abandoned the issues raised by it. (Apple’s Memorandum of Points and Authorities (“MPA”), p. 12:5-12.) In opposition, Plaintiff argues that he alleges ten specific qualifying ideas in 2011 and 2016 that Apple accepted for patent filing and incorporated into major products but failed to compensate. (Plaintiff’s Opposition (“Opp.”), p. 2:15-16.) Plaintiff further argues that the TAC materially differs from the SAC and it specifically addresses the accrual and concealment arguments asserted in the demurrer to Plaintiff’s SAC. (Opp., p. 2:17-18.) The Court finds that the TAC does not merely repeat prior allegations. Thus, it will address the substance of Apple’s arguments.

1. Seventh Cause of Action- Restitution Based on Breach of Implied-in-Fact Contract- Unjust Enrichment

Plaintiff alleges that under the Agreement, Apple agreed to pay employees incentive wages per accepted qualifying idea when the submitted ideas were used by it. (TAC, ¶ 145.) Apple accepted, used, and benefited from Plaintiff’s and other employees’ ideas but it failed to pay the compensation owed. (TAC, ¶¶ 147-149.)

There is no freestanding cause of action for “restitution” in California. (*Munoz v. McMillan* (2011) 195 Cal.App.4th 648, 661 (*Munoz*).) Restitution is also not a cause of action but a remedy. (*Levine v. Blue Shield of California* (2010) 189 Cal.App.4th 1117, 1138 (*Levine*).) “Unjust enrichment is not a cause of action, however, or even a remedy, but rather ‘a general principle, underlying various legal doctrines and remedies[.]’” (See *McBride v. Boughton* (2004) 123 Cal.App.4th 379, 387 (*McBride*) (internal citations omitted).) Unjust enrichment is synonymous with restitution. (*Levine v. Blue Shield of California* (2010) 189 Cal.App.4th 1117, 1138 (*Levine*).) As a matter of law, a quasi-contract action for unjust enrichment does not lie where express binding agreements exist and define the parties’ rights. (*California Medical Assn. v. Aetna U.S. Healthcare of California, Inc.* (2001) 94 Cal.App.4th 151, 172; see *Durell v. Sharp Healthcare* (2010) 183 Cal.App.4th 1350, 1370 [appellate court determined unjust enrichment theory was not applicable where plaintiff alleges the parties entered into express contracts].)

Here, the existence and enforceability of the Agreement is undisputed by the parties. Thus, there is an express contract that covers the parties’ rights. Plaintiff alleges this claim in the alternative to his breach of contract claim. (See TAC, ¶ 151.) While a claim for unjust enrichment *may be alleged as an alternative theory of recovery* where a plaintiff also claims breach of contract, such an alternative claim must “deny the existence or enforceability of [the alleged] agreement.” (*Klein v. Chevron U.S.A., Inc.* (2012) 202 Cal.App.4th 1342, 1389-1390.) Here, Plaintiff fails to deny the existence or enforceability of the Agreement and instead alleges this claim “to the extent that [the Agreement] is found to be unenforceable, inapplicable, limited in scope, or otherwise insufficient to provide relief...” (See TAC, ¶ 151.) Plaintiff’s opposition also makes it clear that he still asserts that the Agreement is a valid enforceable contract. So long as this is the case, Plaintiff may not also bring a claim for restitution based on unjust enrichment.

Accordingly, Apple’s demurrer to Plaintiff’s seventh cause of action is SUSTAINED with 20 days’ leave to amend.

2. Eighth Cause of Action- Accounting

Plaintiff alleges there is a contractual relationship between the parties, which entitles Class Members to receive incentive wages. (TAC, ¶ 156.) Apple owed a duty to Plaintiff and Class/Subclass Members. (TAC, ¶ 157.) Apple accepted many ideas and filed patent applications thereon that an accounting is necessary to determine how many original ideas were submitted by Plaintiff and the Class/Subclass Members and what amounts are owed to them. (TAC, ¶¶ 158-159.)

“An action for an accounting has two elements: (1) that a relationship exists between the plaintiff and defendant that requires an accounting and (2) that some balance is due the plaintiff that can only be ascertained by an accounting.” (*Sass v. Cohen* (2020) 10 Cal.5th 861, 869 [internal citation omitted].) An action for accounting does not require a fiduciary relationship but may be brought where “the accounts are so complicated that an ordinary legal action demanding a fixed sum is impracticable.” (*Jolley v. Chase Home Finance, LLC* (2013) 213 Cal.App.4th 872, 910). “An action for accounting is not available where the plaintiff alleges the right to recover a sum certain or a sum that can be made certain by calculation.” (*Teselle v. McLoughlin* (2009) 173 Cal.App.4th 156, 179 (*Teselle*).)

Here, Plaintiff alleges that pursuant to the Agreement, employees were owned between \$2,000 to \$4,000 per idea that was accepted by Apple. (See TAC, ¶ 17.) Plaintiff identifies the ideas that were accepted by Apple. (See TAC, ¶¶ 20, 22.) Thus, it appears that the amount to be recovered can be made certain by calculation. Consequently, a claim for an accounting is unavailable here. (*Teselle, supra*, 173 Cal.App.4th at p. 179.)

Accordingly, Apple's demurrer to Plaintiff's eighth cause of action is SUSTAINED with 20 days' leave to amend.

3. Ninth Cause of Action-Failure to Timely Compensate Employees During Employment

Plaintiff alleges the ninth cause of action under Labor Code sections 204, subdivision (a) and 1194, subdivision (a). Labor Code section 1194 pertains to the recovery of unpaid balance of minimum wage or overtime compensation. Here, the wages at issue are incentive wages. Plaintiff does not allege that it constitutes minimum or overtime compensation, nor does it appear to this Court that Plaintiff can assert so. Thus, Labor Code section 1194 cannot support Plaintiff's ninth cause of action.

Labor Code section 204 requires that "[a]ll wages . . . earned by any person in any employment are due and payable twice during each calendar month, on days designated in advance by the employer as the regular paydays." (Lab. Code § 204.) The remedy for a violation of Labor Code section 204 is found in Labor Code section 210, which provides that "every person who fails to pay the wages of each employee as provided in Section 204. . . shall be subject to a civil penalty." (Lab. Code § 210, subd. (a).) Under Labor Code section 210, "[t]he penalty shall be recovered by the employee as a statutory penalty pursuant to Section 98 or by the Labor Commissioner..." (*Ibid.*) Here, Plaintiff did not bring this action pursuant to Labor Code section 98, which concerns hearings before the Labor Commissioner. Thus, Plaintiff fails to sufficiently allege this claim.

Accordingly, Apple's demurrer to Plaintiff's ninth cause of action is SUSTAINED with 20 days' leave to amend.

4. Tenth Cause of Action- Failure to Timely Pay Wages Upon Termination of Employment

Plaintiff asserts this action on his own behalf and on behalf of the alleged Class/Subclass Members. (See TAC, ¶ 171.)

Labor Code section 201, subdivision (a), states, in relevant part, "If an employer discharges an employee, the wages earned and unpaid at the time of discharge are due and payable immediately." "If an employer willfully fails to pay, without abatement or reduction, in accordance with Sections 201, 201.3, 201.5, 201.6, 201.8, 201.9, 202, and 205.5, any wages of an employee who is discharged or who quits, the wages of the employee shall continue as a penalty from the due date thereof at the same rate until paid or until an action therefor is commenced; but the wages shall not continue for more than 30 days." (Lab. Code, §203, subd. (a).)

Apple argues that Plaintiff cannot assert this claim because he alleges he is still employed by Apple and thus, cannot seek waiting time penalties for himself. (MPA, pp. 19:26-20:4.) In opposition, Plaintiff asserts that the cause of action is brought on behalf of the subclass of former employees who separated during Class Period. (Opp., p. 8:5-6.) Plaintiff further argues that standing is derivative and proper in a class action. (Opp., p. 8:6-7.) Plaintiff fails to assert any authority in support of his arguments.

Here, the statutes apply to employees who are no longer employed. Plaintiff alleges he is still employed by Apple. (TAC, ¶ 40.) Thus, Plaintiff does not allege sufficient facts to support his assertion of this claim on behalf of Class and/or Subclass Members.

Accordingly, Apple's demurrer to the tenth cause of action is SUSTAINED with 20 days' leave to amend.

5. Thirteenth Cause of Action- Violation of PAGA

Apple argues that the demurrer must be sustained because Plaintiff failed to satisfy the administrative prerequisites.

Before bringing a PAGA action, an aggrieved employee must give the Labor & Workforce Development Agency ("LWDA") written notice of the facts and theories supporting the alleged Labor Code violations. (Lab. Code, §§ 2699.3, subds. (a)(1)(A), (b)(1), & (c)(1)(A).) The prefiling notice requirement is a mandatory precondition to bringing a PAGA claim. (See *Williams v. Superior Court* (2017) 3 Cal.5th 531, 545.) The employee may only bring a PAGA action after the LWDA either fails to act within a specified time or notifies the employee that the LWDA does not intend to take further action. (Lab. Code, § 2699.3, subds. (a)(2)(A) & (B).) A PAGA action is subject to a one-year statute of limitations. (*Brown v. Ralphs Grocery Co.* (2018) 28 Cal.App.5th 824, 839, citing Code Civ. Proc., § 340, subd. (a).) The 65-day period following notice to the LWDA and employer is "not counted as part of the time limited for commencement of the civil action to recover penalties" under PAGA. (Lab. Code, § 2699.3, subd. (d).)

As explained above, the demurrer to the ninth cause of action is sustained without leave to amend. Similarly, for reasons explained below, the demurrer to the eleventh cause of action is sustained without leave to amend. While the Court permits leave to amend the tenth cause of action, here, Plaintiff's November 4, 2024 PAGA notice to the LWDA only referenced Labor Code sections 204 and 226, subdivision (a). (See TAC, Exh. A.) Thus, to the extent Plaintiff seeks to rest his PAGA claim on the violations of Labor Code sections 201-203, it is unavailing. Based on the foregoing, it does not appear Plaintiff has Labor Code violations to support his PAGA claim. (See Lab. Code, § 2699.3, subd. (a).)

Accordingly, Apple's demurrer to Plaintiff's thirteenth cause of action is SUSTAINED with 20 days' leave to amend.

Now, the Court will turn to arguments regarding the statute of limitations.

6. Statute of Limitations

Plaintiff's claims arise from the following allegations:

- In April 2011, Plaintiff submitted seven ideas (“Sudden Impact”) via the internal Portal: P-60776-2011 (Touch Interface Enhancement), P-60777-2011 (Emergency SOS), P-60778-2011 (Medical ID), P-60779-2011 (Emergency Contact), P-60781-2011 (Fall Detection), P-60782-2011 (Crash Detection), P-60783-2011 (Cognitive Check). (TAC, ¶ 20.)
- These seven P-designated applications were marked “Draft” but were accepted by Apple’s Patent Review Committee for filing, as confirmed by the internal Portal notifications in April 2011 stating, “Idea accepted for patent filing.” Apple subsequently incorporated “Crash Detection” into iPhone (P-60782-2011), “Emergency SOS” into iPhone (P-60777-2011), and “Medical ID” into Apple Health (P-60778-2011), among others, but did not pay Plaintiff the incentive pay wages he had earned and was owed as the employee who had submitted the ideas for these P designated ideas after they were accepted by the Patent Review Committee for filing. Exact issued patent numbers are discoverable through Apple’s internal records, which Apple controlled. (*Ibid.*)
- In or about 2016, Plaintiff submitted three additional ideas via the internal Portal: P-60784-2016 (Care Events), P-60785-2016 (App Integrated RFID/QR Code Enabled Electro), P-60786-2016 (Assistive Access (Multi-Tier Operating System)). (TAC, ¶ 22.)
- Apple accepted them on or about June 10, 2016, via Portal confirmation stating, “Idea accepted for patent filing.” P-60786-2016 was marked “Draft” but accepted for filing. Apple subsequently incorporated “Care Events” into Apple Health (P-60784-2016), “Assistive Access” into iPhone (P-60786-2016), and “RFID/QR Code” into P-60785-2016, but did not pay Plaintiff, despite his full performance under the Agreement. The exact patent numbers are discoverable. (*Ibid.*)

“As a general rule, a statute of limitation accrues when the act occurs which gives rise to the claim, that is, when the plaintiff sustains actual and appreciable harm. Any manifest and palpable injury will commence the statutory period.” (*Costa Serena Owners Coalition v. Costa Serena Architectural Com.* (2009) 175 Cal.App.4th 1175, 1195-1196 [internal citations omitted].) Stated differently, “a cause of action accrues at the time when the cause of action is complete with all its elements and the statute of limitations runs from the occurrence of the last element essential to the cause of action.” (*JPMorgan Chase Bank, N.A. v. Ward* (2019) 33 Cal.App.5th 678, 687.)

Apple argues that Plaintiff’s claims are time-barred. (Apple’s MPA, p. 12:19-25.) Apple asserts, at the very least, that the eleventh and thirteenth causes of action are time-barred. Apple argues that Plaintiff’s claims are predicated upon his submissions from 2011 and 2016, thus, these claims are time-barred because he did not initiate this action until 2024. (MPA, p. 12:19-24.) In opposition, Plaintiff argues that the TAC alleges Apple’s active concealment through false portal notifications from 2018-2022 and his reasonable diligence and reasonable reliance upon Apple’s fraudulent and false representations that spanned over many years. (Opp., p. 3:8-12.)

“Under the delayed discovery rule, a cause of action accrues and the statute of limitations begins to run when the plaintiff has reason to suspect an injury or some wrongful cause, unless the plaintiff pleads and proves that a reasonable investigation at the time would not have revealed a factual basis for that particular cause of action. In that case, the statute of limitations for that cause of action will be tolled until such time as reasonable investigation

would have revealed its factual basis.” (*Fox v. Ethicon Endo-Surgery, Inc.* (2005) 35 Cal.4th 797, 803 (*Fox*)). ““In order to rely on the discovery rule for delayed accrual of a cause of action, “[a] plaintiff whose complaint shows on its face that his claim would be barred without the benefit of the discovery rule must specifically plead facts to show (1) the time and manner of discovery and (2) the inability to have made earlier discovery despite reasonable diligence.” ’ [Citations.]” (*NBC Universal Media, LLC v. Superior Court* (2014) 225 Cal.App.4th 1222, 1232 (*NBC*); see also *April Enterprises, Inc. v. KTTV* (1983) 147 Cal.App.3d 805, 832 [“plaintiff must plead facts sufficient to convince the trial judge that delayed discovery was justified”]). “When a plaintiff relies on a theory of fraudulent concealment, delayed accrual, equitable tolling, or estoppel to save a cause of action that otherwise appears on its face to be time-barred, he or she must specifically plead facts which, if proved, would support the theory.” (*Mills v. Forestex Co.* (2003) 108 Cal.App.4th 625, 641 (*Mills*)).

The TAC alleges that Apple actively concealed non-payment of compensation that was owed to Plaintiff and the putative Class/Subclass Members by maintaining false Portal notifications from 2018-2022 which consistently (and falsely) affirmed active status stating “**Patent Recognition Program active, payments processing**,” despite having deleted the submission database in 2021, a fact that Apple actively concealed, preventing Plaintiff and Class Members from discovering the truth about payments that were owed. (TAC, ¶ 4 [emphasis original]; see also ¶ 19 [“Apple continued to perpetuate the concealment of the fact that they had scrapped the entire database[] by posting false Portal notifications between 2018-2022 which falsely stated, “**Program active, payments processing**.”] [emphasis original].) Plaintiff further alleges that as a result of Apple’s purported active concealment, Plaintiff and Class Members remained unaware of non-payment or credit status. (TAC, ¶ 21.)

Plaintiff describes the following conduct as his efforts of due diligence to determine whether his submissions had been accepted by Apple’s patent filings:

1. In September 2013, he asked Lana Nguyen, an Apple store manager, about how to get onto any patent filings, she did not know, but stated “be happy if Apple rolled forward with your idea.”;
2. In November 2016, he resubmitted an idea called “Sudden Impact”;
3. In July 2018, he reached out to James Vest (“Vest”), his supervisor, regarding the status of credit or payment for his submission—there was no status and Vest failed to escalate the issue;
4. In August 2018, Plaintiff attended a meeting where a colleague pitched one of Plaintiff’s ideas as her own and Plaintiff reminded her that the idea submission was his but the issues were never escalated;
5. In December 2020, Plaintiff followed up with James Cartwright, his manager, regarding payment for his submitted ideas, his inquiries were brushed off, and his was instructed to focus on accessibility;
6. On March 29, 2023, the manager of the ideas internal Portal, Beth Menz, states that the portal had been marked defunct in 2018 and subsequently erased.
7. Apple never kept a record of the ideas internal Portal in an effort to conceal any evidence of the truth and to cover up their fraud, where they instructed managers to encourage for qualifying original ideas that were subsequently submitted by Apple for patent filing.

(TAC, ¶ 24(a)-(f).)

Here, Plaintiff alleges that he started inquiring about the payment or credit in 2013, however, he does not describe any efforts to inquire about the payment from 2013-2018. Therefore, Plaintiff fails to state sufficient facts to support delayed discovery as to the 2011 submissions. Thus to the extent Plaintiff's claims are predicated upon the 2011 submissions, they are untimely. However, a demurrer does not lie to a portion of a cause of action. (See *PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1692 (*PH II*)). Thus, the remaining inquiry is whether Plaintiff alleges sufficient facts to support delayed discovery as to the 2016 submissions.

Plaintiff alleges his 2016 submissions were accepted on June 10, 2016. (See TAC, ¶ 22.) He further alleges that Apple "subsequently incorporated Care Events into Apple Health [], "Assistive Access" into iPhone [], and RFID/QR Code into P-60785—2016. (*Ibid.*) Plaintiff alleges that he was unaware of non-payment due to Apple's deletion of the database and its false Portal notifications from 2018-2022 which falsely stated, "Program act, payments processing." (*Ibid.*) Plaintiff does not identify any conduct on his part from 2016-2018 to follow up on the nonpayment despite alleging that it occurred in 2016. Moreover, he fails to allege any conduct by Apple from 2016-2018 (until the false Portal notifications and his report to Vest). Thus, Plaintiff does not allege any due diligence by him during that time period nor does he allege the inability to make earlier discovery during 2016 to July 2018. (See *NBC, supra*, 225 Cal.App.4th at p. 1232.) In light of the fact that Plaintiff had not received payment from his 2011 submissions in 2016, the lack of allegation regarding an investigation or due diligence is material. Based on the foregoing, Plaintiff does not allege sufficient facts to support delayed discovery as to his 2016 submissions. Accordingly, the Court will turn to the timeliness of the individual claims.

i. First Cause of Action- Breach of Contract

"To prevail on a cause of action for breach of contract, the plaintiff must prove (1) the contract, (2) the plaintiff's performance of the contract or excuse for nonperformance, (3) the defendant's breach, and (4) the resulting damage to the plaintiff." (*Richman v. Hartley* (2014) 224 Cal.App.4th 1182, 1186.) "A cause of action for breach of contract accrues at the time of breach, which then starts the limitations period running." (*Cochran v. Cochran* (1997) 56 Cal.App.4th 1115, 1120.) Actions for breach of a written contract are subject to the four-year statute of limitations. (See Code of Civ. Proc., § 337, subdivision (a).)

Plaintiff alleges that Apple breached the contract when it failed to perform its payment obligations under the Agreement after Plaintiff and the putative Class/Subclass Members satisfied all conditions for the payment of the promised incentive compensation for the qualifying and accepted submissions. (TAC, ¶ 69.) He further alleges that Apple's breach was exacerbated by a systemic policy whereby Apple engaged in conduct designed to conceal and thwart discovery of the fact that they had deleted the entire database that hosted the employees' idea submissions, by 1) intentionally posting false status statements, and 2) by and through supervisors who actively discouraged employees from making and pursuing inquiries about rightful compensation and credit for their qualifying submitted ideas. (TAC, ¶ 70.)

As explained above, Plaintiff fails to allege sufficient facts to support the application of delayed discovery here. Plaintiff's breach of contract claim accrued when Apple failed to pay pursuant to the Agreement. Plaintiff did not file his action until October 25, 2024. Thus, in the

absence of the delayed discovery rule or another tolling principle, Plaintiff's breach of contract claim was untimely in 2024.

Accordingly, Apple's demurrer to Plaintiff's first cause of action is SUSTAINED with 20 days' leave to amend.

ii. *Second Cause of Action-Breach of the Covenant of Good Faith and Fair Dealing*

"[E]very contract imposes upon each party a duty of good faith and fair dealing in the performance of the contract such that neither party shall do anything which will have the effect of destroying or injuring the right of the other party to receive the fruits of the contract." (*Storek & Storek, Inc. v. Citicorp Real Estate, Inc.* (2002) 100 Cal.App.4th 44, 55.)

"The implied covenant of good faith and fair dealing rests upon the existence of some specific contractual obligation." (*Racine & Laramie, Ltd. v. Department of Parks & Recreation* (1992) 11 Cal.App.4th 1026, 1031 (*Racine & Laramie*).) "The covenant of good faith is read into contracts in order to protect the express covenants or promises of the contract, not to protect some general public policy interest not directly tied to the contract's purpose." (*Foley v. Interactive Data Corp.* (1988) 47 Cal.3d 654, 690.) "In essence, the covenant is implied as a *supplement* to the express contractual covenants, to prevent a contracting party from engaging in conduct which (while not technically transgressing the express covenants) frustrates the other party's rights to the benefits of the contract." (*Love v. Fire Ins. Exchange* (1990) 221 Cal.App.3d 1136, 1153.)

"In California, the factual elements necessary to establish a breach of the covenant of good faith and fair dealing are: (1) the parties entered into a contract; (2) the plaintiff fulfilled his obligations under the contract; (3) any conditions precedent to the defendant's performance occurred; (4) the defendant unfairly interfered with the plaintiff's rights to receive the benefits of the contract; and (5) the plaintiff was harmed by the defendant's conduct." (*Rosenfeld v. JPMorgan Chase Bank, N.A.* (N.D. Cal. 2010) 732 F. Supp.2d 952, 968.) The statute of limitations for a claim for breach of the implied covenant of good faith and fair dealing is two years. (See Code Civ. Proc., § 339, subd. (1).) "When damages are an element of a cause of; *Bennett v. Ohio National Life Assurance Corp.* (2023) 92 Cal.App.5th 723.)

Plaintiff alleges Apple breached the covenant of good faith and fair dealing when it failed to adhere to the Agreement. (TAC, ¶ 79.) He further alleges that the breach is further evidence by Apple's conduct in deleting the entire database and actively concealed the fact from Class/Subclass Members. (TAC, ¶ 82.) As stated above, Plaintiff fails to allege sufficient facts to support the delayed discovery rule. Thus, Plaintiff's claim began accruing in 2016 at the latest. Plaintiff did not file his action until October 25, 2024. Thus, in the absence of the delayed discovery rule or another tolling principle, Plaintiff's claim was untimely in 2024.

Accordingly, Apple's demurrer to Plaintiff's second cause of action is SUSTAINED with 20 days' leave to amend.

iii. *Fraud Claims*

Causes of Action three (intentional misrepresentation, fraud, and deceit), four (concealment), and (promissory fraud) are all fraud claims, which are subject to a three-year statute of limitations. (See Code Civ. Proc., § 338, subd. (d).) Fraud claims are not deemed to have accrued “until the discovery, by the aggrieved party, of the facts constituting the fraud or mistake.” (*Ibid.*)

The fraud claims are predicated upon Apple’s failure to adhere to the terms of the Agreement, the conduct regarding the Portal from 2018-2022, and the conduct of supervisors regarding employees’ inquiries as to the Agreement. (TAC, ¶¶ 94-95, 107-111, 129-131.) Plaintiff alleges that he did not discover the facts constituting fraud until the March 29, 2023 conversation during which he was informed that the Portal had been marked defunct and the database has been erased. (See TAC, ¶ 24; Opp., p. 4:18-24.) However, as explained above, Plaintiff fails to sufficiently allege delayed discovery as to the failure to pay the amounts owed from the 2011 and 2016 submissions. He alleges fraud occurred when Apple failed to pay under the Agreement and he knew of the non-payment contemporaneously. He fails to allege any tolling principles from 2016 to 2018. Moreover, he did not initiate this action until October 25, 2024. Thus, even if the claim was tolled from 2018 (when the portal conduct started) to March 2023 (when Plaintiff found out the database was deleted) it appears on the face of the TAC that Plaintiff’s fraud claims are time-barred.

Accordingly, Apple’s demurrer to Plaintiff’s third, fourth, and sixth causes of action is SUSTAINED with 20 days’ leave to amend.

iv. Fifth Cause of Action-Conversion

“Conversion is the wrongful exercise of dominion over the property of another. The elements of a conversion claim are: (1) the plaintiff’s ownership or right to possession of the property; (2) the defendant’s conversion by a wrongful act or disposition of property rights; and (3) damages. Conversion is a strict liability tort. The foundation of the action rests neither in the knowledge nor the intent of the defendant. Instead, the tort consists in the breach of an absolute duty; the act of conversion itself is tortious. Therefore, questions of the defendant’s good faith, lack of knowledge, and motive are ordinarily immaterial.” (*Burlesci v. Petersen* (1998) 68 Cal.App.4th 1062, 1066, [80 Cal.Rptr.2d 704].) The basis of a conversion action “ ‘rests upon the unwarranted interference by defendant with the dominion over the property of the plaintiff from which injury to the latter results. Therefore, neither good nor bad faith, neither care nor negligence, neither knowledge nor ignorance, are the gist of the action.’ ” (*Ibid.*) (*Los Angeles Federal Credit Union v. Madatyan* (2012) 209 Cal.App.4th 1383, 1387; see also CACI, No. 2100.) The statute of limitations for a conversion claim is three years. (See Code Civ. Proc., § 338, subd. (c)(1).) The statute of limitations for conversion accrues on the date of the injury, i.e., the date of the conversion. (See *Strasberg v. Odyssey Group, Inc.* (1996) 51 Cal.App.4th 906, 915-916.)

Plaintiff alleges Defendant used Class Members’ ideas and then failed/refused to pay the promised wages. (TAC, ¶ 120.) Here, the purported conversions occurred in 2011 and 2016, respectively. As explained above, the delayed discovery rule is not applicable here. Thus, the statute of limitations for this claim ran by the time Plaintiff filed his Complaint.

Accordingly, Apple’s demurrer to Plaintiff’s fifth cause of action is SUSTAINED with 20 days’ leave to amend.

vi. *Eleventh Cause of Action- Failure to Furnish Accurate Wage Statements*

The statute of limitations for Plaintiff's eleventh cause of action (failure to furnish accurate wage statements) and violation of PAGA is one-year. (See Code Civ. Proc., § 340, subd. (a) [within one year: an action upon a statute for a penalty or forfeiture, if the action is given to an individual, or to an individual and the state, except if the statute imposing it prescribes a different limitations].)

Apple argues that Plaintiff alleges he discovered the alleged nonpayment on March 29, 2023, at the latest but he did not file his lawsuit until October 2024, and he did not file his PAGA notice until November 4, 2024. (MPA, p. 14:2-7.) Plaintiff fails to respond to this argument. Here, Plaintiff's eleventh cause of action ran by March 29, 2024, prior to his submission of the PAGA notice to the LWDA. Plaintiff fails to allege any facts to support tolling of the statute of limitations. Accordingly, it appears Plaintiff's eleventh cause of action is time-barred.

Based on the foregoing, Apple's demurrer to the eleventh cause of action is SUSTAINED with 20 days' leave to amend.

vii. *Twelfth Cause of Action- Violation of the UCL*

The statute of limitation for a cause of action under the UCL is four years. (See Bus. & Prof. Code, § 17208.)

Here, Plaintiff's twelfth cause of action is predicated upon all of Plaintiff's claims. As explained above, the demurrer has been sustained as to the underlying claims. Thus, the demurrer to Plaintiff's claim under the UCL should be sustained as well. (See *Becerra v. McClatchy Co.* (2021) 69 Cal.App.5th 913, 951 [where an unfair business practices claim "is derivative of an underlying violation of law, it must stand or fall with the underlying claim"].)

Accordingly, Apple's demurrer to Plaintiff's twelfth cause of action is SUSTAINED with 20 days' leave to amend.

XLV. CONCLUSION

Apple's demurrer is SUSTAINED with 20 days' leave to amend.

The Court will prepare the order.

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Calendar Lines 12-13

Case Name: *K.K. v. TBMBM US, Inc.*

Case No.: 25CV469704

This action arises from defendant TBMBM US, Inc.’s alleged conduct in permitting Google LLC (“Google”) to eavesdrop on communications sent and received by Plaintiff K.K. and Class Members on pinkcherry.com (the “Website”).⁶

Before the Court is Defendant’s demurrer to Plaintiff’s Complaint and motion to strike portions contained therein, which are both opposed. For reasons discussed below, the Court **VERRULES** Defendant’s demurrer, **DENIES** its motion to strike, and **ORDERS** Plaintiff to move for an order seeking permission to proceed under a pseudonym within 20 days’ of this order.

I. BACKGROUND

According to the allegations of Plaintiff’s Complaint, she created a Gmail account around 2012. (Complaint, ¶ 4.) In January 2025, she visited the Website on the same browser she used to access Gmail and she purchased a Svakom Chika Rabbit Vibe vibrator. (*Ibid.*) Each of the communications was intercepted in transit by Google—as enabled by Defendant—including communications that contained confidential information about Plaintiff’s sex toy purchase. (*Ibid.*) Neither Defendant nor Google obtained Plaintiff’s prior consent to the interception nor was she on notice of the interceptions. (*Ibid.*) Google allegedly wiretapped the Website with its tracking technologies—including those associated with “Google Analytics,”—which Defendant purposely installed on the Website.⁷ (Complaint, ¶¶ 30, 32.) Google’s tracking technologies send secret instructions to a Website user’s browser, without alerting the individual that this is happening. The trackers then cause the browser to secretly and simultaneously duplicate the user’s Website communications, transmitting these communications to Google’s servers alongside additional information about the Website user’s identity. (Complaint, ¶¶ 31, 44-59.) Defendant never received users’ consent to disclose their data. (Complaint, ¶¶ 60-66.)

Based on the foregoing, Plaintiff initiated this action on July 1, 2025, with the filing of the operative Complaint, which asserts the following causes of action: (1) violation of the California Invasion of Privacy Act (“CIPA”) (Pen. Code § 631); and (2) violation of CIPA (Pen. Code § 632).

XLVI. DEMURRER

Defendant demurs to the Complaint entirely and to the first and second causes of action for failure to state facts sufficient to constitute a cause of action. (Code Civ. Proc., § 430.10, subd. (e).)

⁶ Defendant is a “place for all things sexual health, wellness, and pleasure.” (Complaint, ¶ 2.)

⁷ Google Analytics uses “identity spaces” to discern individual users through combinations of User-ID, user-provided data such as email, phone number, name, and address, device ID, and behavioral modelling. (Complaint, ¶ 35.)

C. Request for Judicial Notice

In support of its motion, Defendant requests judicial notice of the following items:

- (1) Defendant's privacy policy, last updated in June 2024: Exhibit B;
- (2) Google's privacy policy, effective September 16, 2024: Exhibit C;
- (3) Google's webpage "Google Analytics Cookie Usage on Websites.": Exhibit D.

Each of the exhibits is referenced in the Complaint, thus, the Court will take judicial notice of them. (See Complaint, ¶ 2-26, 42, 45; see also *Ingram v. Flippo* (1999) 74 Cal.App.4th 1280, 1285, fn. 3 ["Since the contents of the letter and media release form the basis of the allegations in the complaint, it is essential that we evaluate the complaint by reference to these documents."].) Accordingly, Defendant's request for judicial notice is GRANTED.

D. Legal Standard

The function of a demurrer is to test the legal sufficiency of a pleading. (*Trs. Of Capital Wholesale Elec. Etc. Fund v. Shearson Lehman Bros.* (1990) 221 Cal.App.3d 617, 621.) Consequently, "[a] demurrer reaches only to the contents of the pleading and such matters as may be considered under the doctrine of judicial notice." (*South Shore Land Co. v. Petersen* (1964) 226 Cal.App.2d 725, 732, internal citations and quotations omitted; see also Code Civ. Proc., § 430.30, subd. (a).) "It is not the ordinary function of a demurrer to test the truth of the plaintiff's allegations or the accuracy with which he describes the defendant's conduct. ... Thus, ... the facts alleged in the pleading are deemed to be true, however improbable they may be." (*Align Technology, Inc. v. Tran* (2009) 179 Cal.App.4th 949, 958, internal citations and quotations omitted.)

In ruling on a demurrer, the allegations of the complaint must be liberally construed, with a view to substantial justice between the parties. (*Glennen v. Allergan, Inc.* (2016) 247 Cal.App.4th 1, 6.) Nevertheless, while "[a] demurrer admits all facts properly pleaded, [it does] not [admit] contentions, deductions or conclusions of law or fact." (*George v. Automobile Club of Southern California* (2011) 201 Cal.App.4th 1112, 1120.)

E. Discussion

Defendant argues Plaintiff's claims fail because she does not and cannot allege facts demonstrating a reasonable expectation of privacy, her allegations and the judicially noticeable facts establish that Google was a party to the communication—thus, it couldn't eavesdrop, and the alleged visitation and purchase order information collected does not constitute "contents" of a purported communication within the meaning of CIPA. (Defendant's Notice of Demurrer, what isp. 2:15-3:5.)

CIPA, which is codified in Penal Code section 630, *et seq.*, regulates improper and unauthorized electronic surveillance. As relevant here subdivision (a) of Section 631 provides,

- (a) Any person who, by means of any machine, instrument, or contrivance, or in any other manner,
 - (1) Intentionally taps, or makes any unauthorized connection whether physically, electrically, acoustically, inductively, or otherwise, with any telegraph or

- telephone wire, line, cable, or instrument, including the wire, line, cable, or instrument of any internal telephonic communications system, or
- (2) Who willfully and without the consent of all parties to the communication, or in any unauthorized manner, reads, or attempts to read, or to learn the contents or meaning of any message, report, or communication while the same is in transit or passing over any wire, line, or cable, or is being sent from, or received at any place within this state; or
 - (3) Who uses, or attempts to use, in any manner, or for any purpose, or to communicate in any way, any information so obtained, or
 - (4) Who aids, agrees with, employs, or conspires with any person or persons to unlawfully do, or permit, or cause to be done any of the acts or things mentioned above this section.

Is punishable by a fine not exceeding two thousand five hundred dollars (\$2,500), or by imprisonment in the county jail not exceeding one year or by imprisonment pursuant to subdivision (h) of Section 1170, or by both a fine and imprisonment in the county jail or pursuant to subdivision (h) of Section 1170.

(Pen. Code § 631, subd. (a).)

“The California Supreme Court has clarified that [the foregoing] provisions contains three operative clauses protecting against ‘three distinct and mutually independent patterns’ of conduct”: (i) ‘intentional wiretapping,’ (ii) ‘willfully attempting to learn the contents or meaning of a communication in transit over a wire,’ and (iii) ‘attempting to use or communicate information obtained as a result of engaging in either of the two previous activities.’” (*Cody v. Ring* (N.D. Cal. 2024) 2024 U.S. Dist. LEXIS 30704 (*Cody*), *6, quoting *Tavernetti v. Superior Court* (1978) 22 Cal.3d 187, 192.)

Penal Code section 632, prohibits “intentionally and without the consent of all parties to a confidential communication, us[ing] an electronic amplifying or recording device to eavesdrop upon or record the confidential communication, whether the communication is carried on among the parties in the presence of one another or by means of a telegraph, telephone, or other device, except a radio.” (Pen. Code, § 632, subd. (a).)

1. Reasonable Expectation of Privacy

“Plaintiffs have a reasonable expectation of privacy where data is collected without their consent.” (*In re Google Location Hist. Litig.* (N.D. Cal. 2021) 514 F.Supp.3d 1147, 1156.)

Defendant argues that Plaintiff does not and cannot allege facts demonstrating a reasonable expectation of privacy or a lack of consent because the data collected was standard website data and purchase order information for analytic purposes and Defendant disclosed the data collection practice. (MPA, p. 5:21-27.) In opposition, Plaintiff argues that the information at issue is more private than typical browsing information as it divulges sexual preferences and adult product selection made on the Website. (Plaintiff’s Opposition (“Opp.”), p. 9:8-9.) Neither party cites any binding authority and instead, they rely on federal cases, which are not binding upon this Court. (*Central Laborer’s Pension Fund v. McAfee, Inc.* (2017) 17 Cal.App.5th 292, 319, fn. 9 [“We note that although an unpublished California case opinion may not be cited or relied upon (Cal. Rules of Court, rule 8.1115), citing unpublished opinions from other jurisdictions for their persuasive value does not violate this rule.”].)

The Court is persuaded by Plaintiff's arguments and supporting authorities because the Complaint alleges the Website contained intimate lifestyle products which users could browse, purchase, and review. (Complaint, ¶¶ 27-28.) When purchasing the items, users typed their personal information and payment details. (Complaint, ¶ 29.) Plaintiff further alleges that Google Analytics used reported identities, user-provided data, device IDs, and Google signals related to site activity with a Google account; that Defendant enabled Google signals in the United States; that the browser transmitted Google cookies associated with authentication, ad personalization, and profiling; and that Google linked the collected data to a unique Google account ID rather than receiving anonymous traffic data. (Complaint, ¶¶ 35, 36, 41, 45, 46, 55, 65.) Thus, based on the allegations, the information collected revealed personal details that go beyond standard browsing data, which is sufficient at stage to support Plaintiff's assertion of a reasonable expectation of privacy. (See *Heerde v. Learfield Comms. LLC* (C.D. Cal. 2024) 741 F.Supp.3d 849, 864.)

Defendant further argues that the language in its Privacy Policy precludes Plaintiff from alleging lack of consent. Defendant directs the Court to the following language in its Privacy Policy, (1) disclosure that it uses cookies to "track a customer through their sales process for statistical and shopping cart purposes..."; (2) "we may use trusted partners and platforms to help us provide services like marketing, analytics, and advertising," and (3) "authenticated visitation data collected by Google signals and associated with Google user accounts may be shared with Google for analytical purposes." (Defendant's RJN, Exh. B.) In opposition, Plaintiff directs the Court to the following language in Defendant's Privacy Policy, "all sales information is kept confidential and is used only for reporting purposes at PinkCherry.com. we DO NOT sell or distribute this information in any form to 3rd parties. (Plaintiff's Opposition ("Opp."), p. 11:8-11.) This is sufficient to create ambiguity in the plain language of Defendant's Privacy Policy. Consequently, whether the Privacy Policy constituted consent cannot be resolved on demurrer. Based on the foregoing, the Defendant's demurrer on the basis of lack of a reasonable expectation of privacy cannot be sustained.

2. The Party Exemption

Next, Defendant argues that the allegations and judicially noticed facts establish that Google was a party to any purported communications as opposed to a third party. (MPA, p. 12:20-25.) It further argues that Plaintiff concedes that Defendant used Google Analytics for its own business purposes and that Google was a party to the communication because Plaintiff invited Google to participate. (MPA, pp. 13:16-14:8.) In opposition, Plaintiff argues that Google was not a party to the communications and instead it was an "unannounced second auditor". (Opp., p. 12:19-24.)

A "party" to the transmitted communication is exempt from direct liability under CIPA. (See *In re Facebook, Inc. Internet Tracking Litigation* (9th Cir. 2020) 956 F.3d 589, 607.) "California law is well[-]settled that a party to the communication is not liable for recording their own conversation under section 631(a), however, a party may be held vicariously liable under the fourth clause where it 'aids, agrees with, employs, or conspires with any person or persons to unlawfully do, or permit, or cause to be done any of the acts or things' prohibited in the previous three clauses." (*Licea v. Am. Eagle Outfitters, Inc.*, (*Licea*) (C.D. Cal. 2023) 659 F. Supp. 3d 1072, 1081, quoting Cal. Penal Code § 631(a).)

When website code is used to merely store or relay information for the website itself, courts treat that code akin to a tape recorder or tool used by the site and thus find no third-party interception. (See *Licea*, *supra*, 659 F.Supp.3d at p. 1083 [finding that the party exception applied to the third-party chat software provider because its software operated more like a tape recorder and it was not alleged to have collected the data for its own use].) However, when the data is transmitted to an independent entity that uses *or is capable of* using the data for that entity's own purposes, courts treat the third-party code as an eavesdropper and allow aiding and abetting claims to proceed against the owner of the website. (See *Javier v. Assurance IQ, LLC* (N.D. Cal 2023) 649 F.Supp.3d 891, 900 [the court concluded the software provider was an eavesdropper because it could use the information it collected from the defendant for other purpose].) Thus, in order to state a claim, Plaintiff must allege that the third-party provider had the capability to use the intercepted communications for some purpose other than merely recording, storing, or furnishing them for the website owner. (See *Heiting v. Taro Pharms. USA, Inc.* (C.D. Cal 2023) 709 F.Supp.3d 1007, 1016-1017; see also *Turner v. Nuance Communications, Inc.* (N.D. Cal. 2024) 735 F.Supp.3d 1169, 1184 [collection of cases that applied "capability approach"].)

Here, the Complaint alleges the type of information collected by Google. (See Complaint, ¶¶ 32-33.) Moreover, the Complaint alleges that Google has the capability to use the collected information for its own purposes. (See Complaint, ¶¶ 41, 58-59, 79.) These allegations are sufficient to satisfy the capability test. Thus, the party exception is not applicable here.

Defendant further argues that Plaintiff invited Google to participate in the communication because she alleges she has a Gmail account and was logged in while she placed her order on Defendant's Website. (MPA, p. 14:7-10.) It directs the Court to Google's Privacy Policy, which disclosed the collection of Plaintiff's activity information and the fact that "websites and apps that integrate Google service like ads and analytics share information with us." (MPA, p. 14:10-19.) Thus, Defendant asserts that Plaintiff invited Google's participation to use the collected information for Google's purposes (MPA, p. 14:19-22.) This argument is unavailing because the fact that Plaintiff accepted Google's Privacy Policy for use of the Gmail account does not constitute consent to Google's purported interception of her communications on another website. Moreover, the question of whether Plaintiff had notice of the language in Google's Privacy Policy or of Google's Trackers requires a factual analysis that goes beyond the scope of demurrer and as a result, this issue cannot be resolved at this time.

Based on the foregoing, Defendant's demurrer based on the party exemption cannot be sustained.

3. Whether Google Intercepted "Contents" of Any Purported Communications Within the Meaning of CIPA

Lastly, Defendant argues that Plaintiff cannot allege Google intercepted any "contents" within the meaning of CIPA. Defendant argues the act of placing items into the shopping cart and placing a purchase order does not constitute "contents" of any communication.

Section 631 does not provide clarity on the definition of "contents." Thus, "courts have found that the contact information of the communicating parties and the geolocation of the

communicating parties are not the “contents” under [Section 631]. On the other hand, information about particular activity conducted and search terms used on an app qualify as the “contents” of communication.” (*Greenley v. Kochava, Inc.* (S.D. Cal. 2023) 684 F.Supp.3d 1024, 1051-1052 (*Greenley*).)

Defendant’s relies on *People v. Drennan* (2000) 84 Cal.App.4th 1349 (*Drennan*), in which a school superintendent installed a hidden camera in a principal’s office that took soundless photographs every 3 seconds. (*Id.* at p. 1351.) The appellate court reversed his conviction under Penal Code section 632 on the ground that the photographs did not capture communicative content and thus, it was not an intentional act of recording a confidential communication. (*Id.* at p. 1353.) The appellate reasoned that, at most, the photographs could provide that a communication occurred. (*Ibid.*) Here, Plaintiff alleges the collected communications included her activities in browsing the Website, the specific product selected, and purchasing it. (See Complaint, ¶¶ 4, 26-29.) Thus, the conduct at issue in this action is distinguishable from that in *Drennan*. Moreover, *Drennan* did not involve Penal Code section 631. Consequently, Defendant’s reliance of *Drennan* is unavailing.

As noted above, the product purchased is an intimate lifestyle product. (Complaint, ¶¶ 2, 23.) Defendant took efforts to ship out orders in “discreet brown boxes.” (Complaint, ¶ 24.) Plaintiff alleges communications regarding sexual preferences and other intimate information. Thus, for purposes of demurrer, Plaintiff alleges sufficient facts to establish that the communications intercepted were communicative. (See *Greenley, supra*, 684 F.Supp.3d at pp. 1051-1052.) Consequently, the demurrer cannot be sustained on this basis.

Based on the foregoing, Defendant’s demurrer to the first and second causes of action is **OVERRULED**.

XLVII. MOTION TO STRIKE

Defendant moves to strike the unverified Complaint in its entirety.

A. Legal Standard

Under section 436, a court may strike out any irrelevant, false, or improper matter inserted into any pleading or strike out all or part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (Code Civ. Proc., § 436.) The grounds for a motion to strike must appear on the face of the challenged pleading or from matters of which the court may take judicial notice. (Code Civ. Proc., § 437, subd. (a); see also *City and County of San Francisco v. Strahlendorf* (1992) 7 Cal.App.4th 1911, 1913.) In ruling on a motion to strike, the court reads the complaint as a whole, all parts in their context, and assuming the truth of all well-pleaded allegations. (See *Turman v. Turning Point of Central California, Inc.* (2010) 191 Cal.App.4th 53, 63 (*Turman*), citing *Clauson v. Super. Ct.* (1998) 67 Cal.App.4th 1253, 1255.) “Thus, for example, defendant cannot base a motion to strike the complaint on affidavits or declarations containing extrinsic evidence showing that the allegations are ‘false’ or ‘sham.’” (Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2020) 7.169.) At the same time, the California Court of Appeal has emphasized “[w]e have no intention of creating a procedural ‘line item veto’ for the civil defendant.” (*PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1683.)

B. Discussion

Defendant argues that Plaintiff's use of a pseudonym is procedurally and substantively improper. (Defendant's Memorandum of Points and Authorities ("MPA"), p. 5:21-24.) It further argues that Penal Code sections 631 and 632 do not permit a plaintiff to proceed anonymously. (MPA, p. 5:25-26.) Additionally, Defendant argues the Complaint fails to meet the overriding interest test in order to allow her to proceed anonymously. (MPA, p. 5:26-28.) In opposition, Plaintiff moves for an order to proceed under a pseudonym. (Plaintiff's Opposition ("Opp."), p. 7:1-3.)

Generally, the names of all parties to a civil action must be included in the complaint. (Civ. Proc. Code § 422.40.) "Because of the inherently sensitive nature of some proceedings, statutes specifically allow for keeping certain parties' identities confidential." (*Santa Ana Police Officers Assn. v. City of Santa Ana* (2025) 109 Cal.App.5th 296, 306 (*Santa Ana Police Officers Assn.*)). "Unless a statute specifically allows a plaintiff to sue under a pseudonym, a plaintiff must obtain court authorization in order to appear anonymously. Before a party to a civil action can be permitted to use a pseudonym, the trial court must conduct a hearing and apply the overriding interest test: A party's request for anonymity should be granted only if the court finds that an overriding interest will likely be prejudiced without use of a pseudonym, and that it is not feasible to protect the interest with less impact on the constitutional right of access." (*Id.* at pp. 306-307.)

Here, Penal Code sections 631 and 632 do not specifically permit parties to keep their identities confidential. Thus, Plaintiff was required to obtain court authorization before appearing using a pseudonym. However, Plaintiff failed to obtain court authorization prior to filing this action. While Plaintiff contends her opposition cures the defect, however, her reliance on *Santa Ana Police Officers Assn., supra*, is without merit because the appellate court affirmed the judgment as to the Doe Officers on the ground that they *could not proceed pseudonymously*. (See *Santa Ana Police Officers Assn., supra*, 109 Cal.App.5th at p. 308 [emphasis added].)

Moreover, in order for the Court to analyze the overriding interest test, it must consider evidence and make findings of fact and risks specific to the case. (See *Department of Fair Employment & Housing v. Superior Court* (2022) 82 Cal.App.5th 105, 112 (*Department of Fair Employment & Housing*)). The Court is unable to do that in the context of a motion to strike, which does not involve the consideration of evidence. (See Code Civ. Proc., § 437, subd. (a).) Plaintiff must properly move for permission to proceed under a pseudonym so that Court can consider the necessary materials before making its finding.

Accordingly, Defendant's motion to strike is DENIED. However, Plaintiff is ordered to move for an order seeking permission to proceed under a pseudonym within 20 days' of this order.

XLVIII. CONCLUSION

Defendant's demurrer is OVERRULED, its motion to strike is DENIED, and Plaintiff is ordered to move for an order seeking permission to proceed under a pseudonym within 20 days' of this order.

The Court will prepare the order.

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